Northbridge Bank plc — SME Credit Policy

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> ***FICTIONAL DOCUMENT.*** *Northbridge Bank plc does not exist. This policy, and every threshold, limit, scorecard weight, PD, LGD, authority level and worked example in it, is invented for educational and portfolio-project purposes. It is not, and must not be presented as, the policy of Lloyds Banking Group or any other real institution.*

Document Control

Field	Detail
Policy title	Group SME Credit Policy (GCP-SME-01)
Policy owner	Chief Credit Officer, Commercial Banking (Second Line of Defence)
Accountable executive	Chief Risk Officer, Northbridge Bank plc (SMF4)
Policy approver	Board Risk Committee, on recommendation of the Group Credit Risk Committee (GCRC)
Version	4.2
Effective date	1 November 2026
Next scheduled review	31 October 2027 (annual), or earlier on a trigger event
Classification	Internal — Restricted
Applies to	Business Banking, Commercial Banking (SME and Mid-Market), Specialist Real Estate (SME), Asset Finance, Invoice & Asset-Based Finance, Trade & Working Capital
Supersedes	GCP-SME-01 v4.1 (1 November 2025)
Related standards	Group Credit Risk Framework; Definition of Default Standard; IFRS 9 Impairment Standard; Model Risk Policy; Financial Crime Policy; Customer Vulnerability Standard; Climate Risk Standard; Collateral Valuation Standard; Delegated Credit Authority Manual

Review triggers outside the annual cycle: a material change to Group Risk Appetite; a regulatory change affecting credit-risk capital, default definition or conduct; a PD-model redevelopment; a portfolio limit breach that persists for two consecutive quarters; or a direction from Internal Audit or the PRA.

Version history (abridged)

Version	Date	Summary of change
4.2	Nov 2026	Recalibrated Master Scale; tightened hospitality and construction appetite; added climate-adjusted stress overlay; revised start-up policy
4.1	Nov 2025	Introduced Open Banking data in automated decisioning; revised delegated authorities
4.0	Nov 2024	Full rewrite aligned to Group Credit Risk Framework v3

How to read this policy. "Must" denotes a mandatory requirement; departure is a Policy Exception (Section 34). "Should" denotes the expected standard; departure must be justified in the credit application. Values marked *(illustrative)* are fictional calibrations chosen to be plausible for a large UK lender.

1. Executive Summary

Northbridge lends to SMEs on the strength of evidenced, sustainable cash flow; security and guarantees reduce loss but never justify a loan the business cannot repay. This policy sets the mandatory standards for every stage of the SME lending lifecycle, from first contact to write-off, for an SME book of approximately £38bn of committed exposure across c.410,000 obligors *(illustrative)*.

The ten principles of SME lending at Northbridge

1. **Repayment capacity first.** The primary repayment source must be identified and evidenced. Where debt service relies on operating cash flow, the assessment must show sustainable cash generation under base-case and stressed assumptions.
2. **Know the customer before assessing the credit.** No credit decision may be made until KYC, sanctions and fraud screening are complete and clear.
3. **Grade every obligor.** Every obligor carries a validated Risk Grade on the Northbridge Master Scale, refreshed at least annually and on any trigger event.
4. **Lend within appetite.** New lending must sit within the sector, product, grade and concentration limits in this policy. Lending outside appetite is an exception, not a judgement call.
5. **Structure to the risk.** Tenor, amortisation, covenants and security must match the asset financed, the cash flow and the grade.
6. **Independent challenge.** Above automated and First Line limits, every application receives independent Second Line challenge before approval.
7. **Authority is personal and limited.** Credit decisions are made only by individuals and committees holding the relevant Delegated Credit Authority, and never by the person who originated the deal acting alone.

8. **Monitor early, act early.** Deterioration is identified through Early Warning Indicators and managed through the Watchlist before it becomes default.
9. **Treat customers fairly in difficulty.** Forbearance must be viable, documented and in the customer's interest, consistent with FCA conduct expectations where they apply.
10. **Evidence everything.** Every decision must be reconstructable from the credit file: data, analysis, rationale, approver and conditions.

What changed in v4.2

Area	Change	Reason
Master Scale	Recalibrated PD band boundaries (Section 11)	Annual model validation found under-prediction in grades 7–8
Hospitality	Max senior leverage reduced from 3.0x to 2.5x; DSCR floor raised to 1.35x	Elevated default rates and energy/labour cost pressure
Construction	New lending to main contractors with turnover <£5m moved to Restricted	Contractor insolvency concentration
Stress testing	Climate overlay added for flood-exposed property and carbon-intensive sectors	Climate Risk Standard v2
Start-ups	Separate scorecard and 12-month liquidity runway requirement (Section 31)	Established-business scorecard mis-ranks start-ups

Who must comply. All colleagues originating, assessing, approving, documenting, monitoring or recovering SME credit exposures, including colleagues in outsourced or offshore credit operations. Breach of a mandatory requirement is reportable under Section 34 and may be a conduct matter.

2. Bank Risk Philosophy

Northbridge is a UK-focused, deposit-funded universal bank with a moderate, "through-the-cycle" credit risk appetite: it aims to earn a stable return on SME lending without the earnings volatility of high-yield or leveraged lending.

2.1 Bank profile *(fictional)*

Attribute	Northbridge Bank plc
Legal status	UK-incorporated plc; ring-fenced bank under UK ring-fencing rules
Regulators	Prudentially regulated by the PRA; conduct-regulated by the FCA

Attribute	Northbridge Bank plc
Capital approach	Internal Ratings Based (IRB) approach for SME and corporate exposures (Foundation IRB for corporates, Retail IRB for qualifying small-business exposures) *(illustrative)*
Customers	c.18m retail, c.900,000 business customers, of which c.410,000 have SME credit facilities *(illustrative)*
Geography	England, Scotland, Wales and Northern Ireland
SME committed exposure	c.£38bn *(illustrative)*
Three Lines of Defence	1LoD: Business Banking, Commercial Banking, product teams. 2LoD: Credit Risk, Model Risk, Financial Crime Risk, Conduct Risk. 3LoD: Group Internal Audit

2.2 Group risk appetite for SME credit

The Board sets appetite in four layers. Each layer cascades limits to the one below, and each metric has a Green (within appetite), Amber (early warning, management action) and Red (outside appetite, Board escalation) threshold.

Layer	Set by	Examples
1. Group Risk Appetite Statement	Board	Group CET1 floor; maximum earnings volatility from impairment; no appetite for lending that causes foreseeable customer harm
2. Credit Risk Appetite	Board Risk Committee	SME impairment charge ≤ 45bps of average loans through the cycle; Stage 3 ratio ≤ 3.5%
3. Portfolio limits	Group Credit Risk Committee	Sector, grade, product, single-name and geographic limits (Section 29)
4. Underwriting policy	Chief Credit Officer	The standards in this document

SME credit risk appetite metrics *(illustrative)*

Metric	Green	Amber	Red
SME impairment charge (bps of avg loans, rolling 12m)	≤ 35	35–55	> 55
Stage 3 loans / total SME loans	≤ 2.5%	2.5%–3.5%	> 3.5%
Stage 2 loans / total SME loans	≤ 12%	12%–16%	> 16%
Exposure-weighted average 12m PD (performing book)	≤ 1.6%	1.6%–2.2%	> 2.2%
New lending in grades 8–10 (% of quarterly origination)	≤ 5%	5%–8%	> 8%
Largest sector concentration (% of SME exposure, excl. owner-occupied property)	≤ 18%	18%–22%	> 22%
Policy exceptions (% of approvals by value, quarterly)	≤ 8%	8%–12%	> 12%

2.3 Where SME credit policy sits

This policy is a Level-2 policy under the Group Credit Risk Framework. It translates Board appetite into rules a credit officer can apply to one application.

- **Above it:** the Group Risk Appetite Statement, the Group Credit Risk Framework, and Group-wide standards on default, impairment, model risk, financial crime and conduct.
- **Beside it:** the Corporate Credit Policy (obligors with turnover > £50m or connected exposure > £50m) and the Leveraged Finance Policy. An SME that crosses either threshold migrates to the Corporate Credit Policy at its next annual review.
- **Below it:** Product Standards, Sector Guides, the Delegated Credit Authority Manual and desk procedures. Where a lower document conflicts with this policy, this policy prevails.

2.4 What Northbridge will not do

- Lend where repayment depends solely on asset realisation or a guarantee.
- Lend to obligors in Prohibited sectors (Section 6), or where financial-crime risk is outside appetite.

- Approve lending to meet sales targets where the credit case is not met. Sales performance must never be a factor in a credit decision.
- Lend into a borrower's known financial difficulty except through a documented forbearance or restructuring process (Section 26).
- Take positions that rely on a borrower's refinancing elsewhere at maturity without an evidenced refinancing plan.

3. Scope, Definitions and Principles

This policy applies to all credit exposures to SME obligors booked in Northbridge Bank plc and its UK subsidiaries, regardless of product, channel or booking system.

3.1 In scope

- Obligors (sole traders, partnerships, LLPs, limited companies, charities and clubs with trading activity) with **annual turnover ≤ £50m** and **Total Connected Exposure (TCE) ≤ £50m**.
- All lending products in Section 5, including contingent liabilities (guarantees, letters of credit) and derivative lines used to hedge SME borrowing.
- New lending, increases, renewals, restructures, extensions and material amendments.

3.2 Out of scope

- Personal lending to business owners (Retail Credit Policy), except where it forms part of a connected exposure or supports a business facility.
- Obligors above the SME thresholds (Corporate Credit Policy).
- Leveraged transactions sponsored by private equity (Leveraged Finance Policy), regardless of obligor size.
- Lending to financial institutions, local authorities and sovereigns.

3.3 Key definitions

Term	Definition
Obligor	A legal person or individual with a credit obligation to the bank
Connected Counterparty	Obligors linked by control (>50% ownership or the power to direct), economic dependency (failure of one would likely cause failure of the other) or common management. See Section 33
Total Connected Exposure (TCE)	The sum of all committed limits (or outstandings if higher) across a connected group, including contingent and pre-settlement exposures at their credit-conversion values

Term	Definition
Exposure at Default (EAD)	Expected exposure at the time of default, including expected drawdown of undrawn commitments
Probability of Default (PD)	Likelihood that an obligor defaults within 12 months, per the Definition of Default Standard (Section 25)
Loss Given Default (LGD)	Expected economic loss, as a % of EAD, if default occurs, net of recoveries and costs and discounted to the default date
Risk Grade	The obligor's position on the Northbridge Master Scale (grades 1–10, D)
Primary repayment source	The cash flow expected to repay the facility in the base case
Secondary repayment source	Security, guarantees or asset realisation relied on only if the primary source fails
Normalised EBITDA	Reported EBITDA adjusted under Section 10.4
CFADS	Cash Flow Available for Debt Service (Section 10.2)
Headroom	The % by which a covenant metric can deteriorate before breach
Policy Exception	Approval of a transaction that does not meet a mandatory policy requirement (Section 34)
Credit Override	Approval of a Risk Grade or decision different from the model or engine output (Section 34)
Conditions Precedent (CPs)	Conditions that must be met before first drawdown
Conditions Subsequent (CSs)	Conditions that must be met within a set period after drawdown

3.4 Roles and responsibilities

Role	Line	Accountability
Relationship Manager (RM)	1LoD	Owns the customer relationship; originates and structures; prepares the credit

Role	Line	Accountability
		application; owns ongoing monitoring and first response to EWIs
Business Banking / Commercial Manager	1LoD	Supervises RMs; holds limited First Line credit authority; reviews quality of applications
Credit Analyst / Credit Manager	2LoD	Independently assesses, grades, challenges and approves within authority; owns credit decision quality
Business Support Unit (BSU)	1LoD (specialist)	Manages Watchlist Red and early-stage restructuring cases
Business Recoveries Unit (BRU)	1LoD (specialist)	Manages defaulted obligors, enforcement and recovery
Credit Risk Policy	2LoD	Owns this policy; interprets it; tracks exceptions
Portfolio Credit Risk	2LoD	Monitors appetite and portfolio limits; produces MI
Model Risk Management	2LoD	Independently validates PD, LGD, EAD, scorecards and decision engines
Group Internal Audit	3LoD	Independently assures the design and operation of credit controls

3.5 Principles of interpretation

- Where the policy is silent, apply the principle in Section 1 most relevant to the risk, and consult Credit Risk Policy.
- Substance prevails over form. A structure designed to avoid a limit (for example, splitting a facility across connected entities) is treated as if the limit applied.
- The more restrictive of this policy and any product or sector standard applies.

4. SME Segmentation

Northbridge segments SMEs by size and complexity because the information available, the predictive power of models and the cost of manual underwriting all change with size. Small obligors are underwritten largely by data and models; larger ones by individual analysis.

4.1 Core size segments

Segment	Annual turnover	Typical TCE	Underwriting model	Information basis	Coverage model
Micro (Business Banking)	< £2m	≤ £100k	Automated decision engine; behavioural and bureau scorecards	Account conduct, Open Banking, bureau, Companies House filings	Pooled / digital RM
Small (Business Banking)	£2m – £10m	£100k – £1m	Engine-assisted; manual credit assessment above £250k	Statutory accounts, management accounts above £500k	Named RM, portfolio of c.120
Medium (Commercial)	£10m – £25m	£1m – £10m	Full manual assessment; SME application scorecard + qualitative	3 years' accounts, quarterly MI, forecasts	Named RM, portfolio of c.40
Upper Mid-Market (Commercial)	£25m – £50m	£5m – £50m	Full manual; Mid-Market PD model; credit committee	Audited accounts, monthly MI, covenant compliance certificates	Senior RM, portfolio of c.20; dedicated Credit Manager

A sole trader or partnership is underwritten in the segment matching its turnover, but personal finances must always be assessed because there is no legal separation between business and owner.

4.2 Overlay segments

Overlay segments sit on top of the size segment. An obligor can carry more than one overlay; the most restrictive requirement applies.

Overlay	Definition	Why the approach differs	Key policy consequence
Start-up	Trading < 24 months, or < 2 sets of filed accounts	No history to score; failure rates are 3–5x established SMEs	Start-up scorecard; Section 31 applies; lending capped at £250k unless

Overlay	Definition	Why the approach differs	Key policy consequence
			government-guaranteed or fully cash-secured
High-growth	Revenue growth > 30% p.a. for 2 consecutive years	Growth consumes working capital; historic ratios understate future funding need; overtrading risk	Mandatory 12-month cash-flow forecast; working-capital stress; covenant on minimum liquidity
Established	Trading > 5 years with 3 years' accounts and stable ownership	History is predictive; models perform best	Standard policy; eligible for streamlined annual review if Grade ≤ 5
Complex	Group structures, overseas subsidiaries, FX exposure > 25% of revenue, or regulated activity	Cash may be trapped in entities; financials need consolidation and elimination	Group analysis (Section 33); Credit Manager assessment regardless of size
Group (multi-entity)	≥ 2 connected legal entities	Exposure must be aggregated; intercompany flows can mask weakness	Aggregate TCE; consolidated and entity-level analysis; cross-guarantees considered
Owner-managed	≥ 75% owned by directors active in the business	Key-person risk; blurred line between personal and business spending	Normalisation of remuneration (Section 10.4); key-person insurance assessment; PG policy applies
Professional practice	Solicitors, accountants, GP/dental practices, architects, vets	Highly predictable fee income but partner-capital and regulatory risks; partner exits can drain capital	Practice-specific guide; partner capital lock-in; regulator status checks
Property-related	> 50% of income from property rents or sales	Repayment depends on tenants, values and exit, not trading cash flow	Section 32 property framework replaces cash-flow framework for investment and development

Overlay	Definition	Why the approach differs	Key policy consequence
Import / export	> 25% of purchases or sales cross-border	FX, transit, counterparty, sanctions and documentary risks	Trade finance standards; sanctions and dual-use screening; FX stress

4.3 Segment-level risk characteristics *(illustrative, from 10-year internal history)*

Segment	Average annual default rate	Average LGD (secured)	Main loss drivers
Micro	2.8%	55%	Owner illness/exit, cash-flow shocks, little security
Small	1.9%	42%	Customer loss, margin squeeze, working-capital strain
Medium	1.2%	35%	Over-expansion, acquisition integration, contract loss
Upper Mid-Market	0.9%	30%	Leverage, refinancing, sector downturns
Start-up overlay	6.5%	65%	Business-model failure in first 24 months

5. Product Policy

Every facility must match its purpose: short-term assets are funded with short-term or revolving facilities, long-term assets with amortising term debt, and tenor must never exceed the economic life of the asset financed. Using an overdraft to fund capex, or a term loan to fund losses, is a structuring failure that must be corrected at approval.

Universal product rules

- Tenor ≤ the shorter of the product maximum and the useful economic life of the asset financed.
- Bullet or balloon repayments > 30% of the original principal require an evidenced refinancing or exit plan and Credit Manager approval.
- Revolving facilities must be reviewed at least annually and are repayable on demand (overdrafts) or committed for a maximum of 3 years (RCFs) for SMEs.
- Approval authority is set by TCE and grade in Section 19; this section notes product-specific escalations only.

5.1 Revolving and working-capital products

Attribute	Business overdraft	Revolving credit facility (RCF)	Working-capital term facility	Invoice finance (factoring / invoice discounting)	Asset-based lending (ABL)
Purpose	Day-to-day cash timing gaps	Committed working capital and seasonal peaks	Fund a permanent increase in working capital	Release cash tied up in receivables	Multi-asset borrowing base for larger SMEs
Typical borrower	Any trading SME	Medium / Upper Mid-Market	Growing SMEs	B2B businesses with credit terms; turnover > £1m	Turnover > £10m with material receivables, stock, P&M
Tenor	Repayable on demand; reviewed annually	Up to 3 years committed	Up to 3 years	Rolling; 12-month minimum term	3 years
Repayment	Fluctuating; expected to swing into credit	Revolving; clean-down of 30 days p.a. for seasonal RCFs	Amortising or seasonal	Self-liquidating from debtor receipts	Self-liquidating against borrowing base
Key risks	Hardcore borrowing; masking losses	Permanent drawing becomes term debt	Funding losses rather than growth	Debtor fraud, dilution, concentration, contra	Collateral quality, reporting integrity
Underwriting	Swing analysis; 12m account conduct; limit ≤ 15% of turnover	Cash-flow forecast; peak requirement analysis	Working-capital cycle analysis	Debtor-ledger audit; dilution analysis; concentration limits	Field exam; inventory and P&M valuation; borrowing-base model
Security	Debenture above £25k unsecured limit	Debenture; PG per Section 17	Debenture	Assignment of debts; debenture	All-asset debenture; specific charges

Attribute	Business overdraft	Revolving credit facility (RCF)	Working-capital term facility	Invoice finance (factoring / invoice discounting)	Asset-based lending (ABL)
Key covenants	None (on demand)	Interest cover; leverage	DSCR; leverage	Debtor concentration; ageing; dilution	Borrowing-base availability; fixed-charge cover when availability < 15%
Monitoring	Monthly hardcore test: if never in credit for 6 months, convert to term loan or reduce	Quarterly covenants; utilisation	Quarterly	Daily/weekly receivables; monthly audit triggers	Monthly borrowing-base certificates; annual field exam
Approval note	Engine-approvable up to £25k	Credit Manager minimum	Credit Manager minimum	Invoice Finance Credit, with Specialist Debtor Risk sign-off	Senior Credit Manager minimum

Invoice finance advance rates *(illustrative)*: up to 85% of eligible debts for invoice discounting, 80% for factoring. Ineligible: debts > 90 days past invoice date (> 120 days with credit insurance), intercompany and connected-party debts, contra accounts, overseas debts without credit insurance, single debtor concentration above 25% of the ledger (the excess is ineligible).

5.2 Term lending

Attribute	Business term loan	Expansion / growth loan	Acquisition finance	Capex finance	Commercial vehicle finance	Equipment finance
Purpose	General term funding, refinancing	New site, product, market	Buy another business or shares	Plant, fit-out, IT	HGVs, vans, fleets	Machinery, tech, medical equipment
Typical borrower	Established SMEs	Grade ≤ 6 SMEs with track record	Medium SMEs buying	Manufacturers, logistics	Transport, construction	Most sectors

Attribute	Business term loan	Expansion / growth loan	Acquisition finance	Capex finance	Commercial vehicle finance	Equipment finance
			smaller targets			
Max tenor	10 years	7 years	5 years (7 with Central Credit)	Asset life, max 10 years	5 years (HGV 7)	Asset life, max 7 years
Repayment	Amortising; up to 12m capital holiday	Amortising; up to 12m capital holiday	Amortising; ≤ 25% balloon	Amortising from commissioning	HP/lease rentals; ≤ 20% balloon	Rentals; ≤ 15% balloon
Key risks	Purpose drift	Execution and forecast risk	Integration, overpayment, goodwill-heavy security	Commissioning delay; obsolescence	Residual-value and utilisation risk	Obsolescence; specialist resale
Underwriting	Historical DSCR	Forecast DSCR on bank case; sensitivities	Combined pro-forma; quality of earnings for deals > £5m; target due diligence	Capex appraisal; supplier and installation risk	Fleet utilisation; residual-value guide	Asset type and secondary market
Security	Debenture; property where available	Debenture; specific charges	Share charge over target; debenture over both; cross-guarantees	Chattel mortgage / fixed charge	Title retained	Title retained / fixed charge
Key covenants	DSCR; leverage	DSCR; leverage; capex limit	DSCR; leverage (step-downs); no dividends until	DSCR	None below £500k; DSCR above	None below £500k; DSCR above

Attribute	Business term loan	Expansion / growth loan	Acquisition finance	Capex finance	Commercial vehicle finance	Equipment finance
			leverage < 2.0x			
Monitoring	Annual; quarterly if > £1m	Quarterly vs plan for 24m	Quarterly; integration milestones	Commissioning milestones	Asset and arrears monitoring	Asset and arrears monitoring
Approval note	Per Section 19	Per Section 19	Senior Credit Manager minimum; Central Credit if leverage > 2.75x	Per Section 19	Asset Finance Credit	Asset Finance Credit

5.3 Property lending (summary — full framework in Section 32)

Attribute	Owner-occupied commercial property	Investment property	Development finance	Bridging finance
Purpose	Buy/refinance premises the business trades from	Buy/refinance let property	Build or convert property for sale or let	Short-term funding pending sale or refinance
Max tenor	25 years (15 years standard)	15 years	Build period + 6 months, max 36 months	18 months
Max LTV / LTGDV	70% LTV	65% LTV	60% LTGDV; 75% LTC	65% LTV
Repayment	Amortising from trading cash flow	Amortising to ≤ 50% LTV at maturity; interest-only up to 5 years if LTV ≤ 55%	From sales/refinance	From sale/refinance (exit evidenced)

Attribute	Owner-occupied commercial property	Investment property	Development finance	Bridging finance
Key risks	Business failure plus property value fall (correlated)	Tenant default, voids, rental and yield shifts	Cost overrun, planning, contractor failure, sales risk	Exit failure
Key covenants	DSCR; LTV	ICR; LTV; vacancy	LTC; LTGDV; pre-sales; cost-to-complete	LTV
Approval note	Per Section 19	Real Estate Credit	Real Estate Credit; Senior Credit Manager minimum	Real Estate Credit; Senior Credit Manager minimum

5.4 Trade finance

Attribute	Import finance / import loans	Export finance	Documentary letters of credit (issued)	Bank guarantees and bonds
Purpose	Pay suppliers on shipment; fund goods in transit	Fund the gap between shipment and buyer payment	Assure overseas suppliers of payment	Performance, advance payment, bid, HMRC duty deferment
Max tenor	180 days per transaction	180 days (longer with UKEF support)	180 days	Matching underlying contract, max 3 years for SMEs
Key risks	Goods quality, fraud, FX, sanctions	Buyer and country risk	Documentary discrepancies; fraud	Contingent call on demand
Underwriting	Trade cycle; supplier history; sanctions/dual-use	Buyer credit insurance; country risk	As import finance	Contract review; contractor capability
Security	Goods; debenture; trust receipts	Credit insurance assignment	Counter-indemnity; debenture	Counter-indemnity; cash cover for weaker grades

Attribute	Import finance / import loans	Export finance	Documentary letters of credit (issued)	Bank guarantees and bonds
Approval note	Trade Credit; Financial Crime check every transaction	Trade Credit	Trade Credit	Guarantees counted at 100% of face value in TCE (performance bonds 50% CCF for capital)

5.5 Other products

Attribute	Business credit card	Hire purchase	Leasing (finance / operating)	Government-backed lending
Purpose	Expenses and small purchases	Acquire an asset, ownership at end	Use an asset; finance lease transfers most risk	Lending under UK government guarantee schemes where available
Limit / tenor	Up to £25k (engine); 56-day revolving	Asset life, max 7 years	Asset life, max 7 years	Per scheme rules
Key risks	Unsecured; misuse	Asset value	Residual value (operating lease)	Scheme-rule breaches void the guarantee
Underwriting	Engine	Asset finance standard	Asset finance standard	Normal credit standards apply; the guarantee is not a substitute for viability. Scheme eligibility checks are mandatory
Security	None; counts in unsecured exposure	Title	Title	Per scheme; PG restrictions per scheme rules
Approval note	Engine	Asset Finance Credit	Asset Finance Credit	Per Section 19 on gross exposure; scheme compliance

Attribute	Business credit card	Hire purchase	Leasing (finance / operating)	Government-backed lending
				sign-off by Government Schemes Unit

6. Eligibility

An application that fails a mandatory eligibility criterion must be declined or approved as a Policy Exception; it may not proceed to credit assessment as if eligible. Eligibility is tested by the decision engine for engine-routed applications and by the RM (checked by Credit) for all others.

6.1 Mandatory eligibility criteria

Criterion	Requirement	Exception route
Registration	UK-registered company, LLP or partnership, or UK-resident sole trader, trading principally in the UK	None for non-UK obligors (Corporate & International)
Trading history	≥ 24 months for standard policy; < 24 months ⟶ Start-up policy (Section 31)	Start-up policy
Filing status	Companies House filings up to date (no overdue accounts or confirmation statement > 30 days late)	Credit Manager if late filing explained and cured by CP
Minimum turnover	≥ £50k for term lending; none for card/overdraft ≤ £10k	Credit Manager
Ownership transparency	All persons with ≥ 25% ownership or significant control identified and verified; ultimate beneficial owners (UBOs) verified to 10% where higher-risk indicators exist	None
Management	At least one director/partner with ≥ 2 years' relevant sector experience	Credit Manager

Criterion	Requirement	Exception route
Sector	Not Prohibited; Restricted sectors meet sector conditions (6.3)	Restricted: per 6.3. Prohibited: none
Credit history	No unsatisfied CCJs > £5k in last 24 months (business or principals); no insolvency of principals in last 6 years; no IVA in last 3 years	Senior Credit Manager if explained and satisfied
Account conduct	Where banked with Northbridge ≥ 6 months: no returned items in last 3 months; no unarranged excess > 30 days in last 6 months	Credit Manager
Tax	No known HMRC arrears outside an agreed Time to Pay arrangement; Time to Pay arrangements disclosed and being met	Credit Manager if TTP being met
Financial information	Information required by Section 8 provided	None (incomplete applications are not assessed)
Purpose	Legal, clearly identified, consistent with the business model and not to repay HMRC arrears, other lenders' arrears or fund distributions to shareholders	Refinancing of arrears only under Section 26
Source of funds	Equity contributions and deposits supporting the application are from an evidenced, legitimate source	None
Existing relationship	Not required. Non-customers must open a Northbridge operating account before drawdown for any facility > £250k	Credit Manager

6.2 Sector appetite classification

Northbridge classifies sectors by SIC 2007 code into four appetite categories, refreshed semi-annually by Portfolio Credit Risk based on default rates, forward-looking economic indicators and concentration.

Category	Meaning	Approval impact
Acceptable — Growth	Sectors where Northbridge seeks to grow share	Standard policy
Acceptable — Neutral	Standard appetite	Standard policy
Restricted	Elevated credit, legal, regulatory, reputational or financial-crime risk; lending only on enhanced conditions	Sector conditions + one authority level higher (Section 19)
Prohibited	Outside appetite	Decline; no exception route

6.3 Sector classification *(illustrative)*

Sector	Category	Rationale and conditions
Healthcare (GP, dental, care with CQC rating Good/Outstanding)	Acceptable — Growth	Contracted public income; regulated quality. Care homes rated Requires Improvement → Restricted
Professional services	Acceptable — Growth	Stable fee income; low capital intensity
Manufacturing (excl. defence-adjacent)	Acceptable — Growth	Tangible security; strong UK supply-chain policy support
Technology (revenue-generating, positive EBITDA)	Acceptable — Neutral	Cash-flow lending only; pre-revenue → Restricted (venture debt team)
Wholesale and distribution	Acceptable — Neutral	Thin margins; working-capital intensive
Agriculture	Acceptable — Neutral	Land security; subsidy-transition and weather risk
Transport and logistics	Acceptable — Neutral	Fuel and labour sensitivity; asset-backed
Retail (non-food)	Acceptable — Neutral	Structural shift online; lease liabilities included in leverage

Sector	Category	Rationale and conditions
Hospitality (pubs, restaurants, hotels)	Restricted	High default rates; energy, labour and consumer-demand sensitivity. Max senior leverage 2.5x; DSCR ≥ 1.35x; trading ≥ 3 years
Construction — main contractors < £5m turnover	Restricted	Fixed-price contract risk; retentions; payment-chain insolvency contagion. Bonding exposure counted in full
Recruitment and staffing	Restricted	Thin margins; HMRC/IR35 and umbrella-company compliance; PAYE arrears risk. Invoice finance preferred
Commercial property development	Restricted	Section 32 conditions
Energy — oil & gas services	Restricted	Transition risk; Climate Risk Standard sector review required
Cash-intensive businesses (car washes, nail bars, takeaways, vape shops)	Restricted	Heightened money-laundering risk. Enhanced Due Diligence; cash-turnover reconciliation to bank statements
Gambling (licensed)	Restricted	Reputational and AML; UK Gambling Commission licence required and in good standing
Cryptoasset businesses	Restricted	FCA cryptoasset registration mandatory; Financial Crime Risk approval
Defence manufacturers	Restricted	Export-control and reputational review; no controversial weapons
Adult entertainment	Prohibited	Reputational risk outside appetite
Unlicensed money service businesses / unregistered payment institutions	Prohibited	Regulatory and AML

Sector	Category	Rationale and conditions
Controversial weapons (cluster munitions, anti-personnel mines, chemical/biological)	Prohibited	Legal and reputational
Payday / high-cost short-term lenders	Prohibited	Conduct and reputational
Thermal coal mining or new coal-fired generation	Prohibited	Climate Risk Standard
Businesses whose principal activity is unlawful in any UK jurisdiction	Prohibited	Legal
Shell companies with no trading activity (other than SPVs within Section 32 property lending)	Prohibited	Fraud and AML

6.4 Geographic considerations

- Lending is available across England, Scotland, Wales and Northern Ireland. Security documentation must follow the law of the jurisdiction where the asset sits (for example, standard securities and floating charges under Scots law; mortgages registered with Land Registry NI).
- Obligors with operations or key customers in sanctioned or high-risk third countries require Financial Crime Risk sign-off before credit assessment.
- Property in Flood Zone 3 (or SEPA/NRW/NI equivalents) requires the climate overlay in Section 37.

6.5 Business model tests

The RM must be able to state, in three sentences or fewer, how the business makes money, who pays it, and why customers will keep paying it. If not, the application is not ready for credit. Credit must decline where the business model:

- depends on a single contract or customer > 50% of revenue without contractual protection beyond the loan tenor, unless approved by Senior Credit Manager;
- has no evidenced path to positive operating cash flow within the facility tenor (outside Start-up policy);
- relies on regulatory permissions the business does not hold.

7. KYC / AML and Customer Due Diligence

KYC answers “may we deal with this customer?”; credit assessment answers “will this customer repay?”. Both must be satisfied, KYC first. A clear KYC outcome never implies creditworthiness, and a strong credit case never overrides a financial-crime concern.

7.1 How the two assessments interact

Dimension	KYC / AML assessment	Credit assessment
Question	Is the customer who they say they are, and is the relationship within financial-crime appetite?	Can and will the customer repay?
Owner	1LoD onboarding / KYC operations; 2LoD Financial Crime Risk	RM (1LoD); Credit (2LoD)
Framework	Money Laundering Regulations 2017 (as amended), JMLSG guidance, sanctions regimes, Group Financial Crime Policy	This policy
Output	Customer Risk Rating (Low / Medium / High / Prohibited)	Risk Grade, decision, structure
Refresh	Periodic review: High annually, Medium every 3 years, Low every 5 years, plus event-driven	Annual review plus trigger events
Can veto the other?	Yes — a Prohibited or unresolved High rating stops credit	No — a decline does not change KYC status

Information flows both ways. Credit analysis often surfaces financial-crime red flags that onboarding did not: turnover inconsistent with bank receipts, unexplained related-party flows, round-sum transfers, or financial statements that do not reconcile to filed accounts. The RM and Credit must raise an internal Suspicious Activity Report via the Nominated Officer route whenever they know or suspect money laundering. They must not tip off the customer. Equally, a High customer risk rating is a credit-relevant fact: it increases monitoring and may restrict product choice.

7.2 Due diligence requirements

Check	Source	Requirement	Owner
Entity identity	Companies House; Charity Commission / OSCR; FCA Register where regulated	Legal name, number, registered office, status “active”, SIC, incorporation date	KYC Ops
Directors / partners / members	Companies House; electronic ID&V	All directors identified; those signing or guaranteeing verified	KYC Ops

Check	Source	Requirement	Owner
Persons with Significant Control	PSC register, verified independently	PSC register is a starting point only. Ownership chain verified to natural persons at ≥ 25% (≥ 10% for High risk). Discrepancies reported to Companies House where required	KYC Ops
Sanctions	UK (OFSI), UN, EU, US (OFAC) lists	Entity, directors, UBOs, and for trade finance, counterparties, vessels and goods	Screening (automated); Financial Crime Risk for alerts
PEP	Screening vendor	PEP or close associate → Enhanced Due Diligence; senior management approval to establish relationship	KYC Ops; Financial Crime Risk
Adverse media	Screening vendor + manual search	Fraud, bribery, tax evasion, modern slavery, environmental crime, insolvency, regulatory sanction in last 6 years	KYC Ops; RM to assess credit relevance
Fraud checks	CIFAS; National Fraud Database; internal fraud database; device and identity analytics	No adverse fraud markers; synthetic identity checks for start-ups	Fraud Risk
Credit bureau	Commercial bureau (business); consumer bureau (principals, with consent)	Commercial score, CCJs, payment behaviour, director history	Engine / Credit
Existing liabilities	Bureau; charges register; accounts; Open Banking	All lenders and charges identified; charge register reconciled to declared debt	RM; Credit

Check	Source	Requirement	Owner
Bank conduct	Northbridge accounts; Open Banking (up to 12 months) for non-customers	Turnover through account vs declared turnover within ±20%	Engine / RM
Tax	Customer declaration; accounts; HMRC Time to Pay letters	No undisclosed arrears; VAT returns for VAT-registered businesses	RM
Financial information	Section 8	Complete and reconciled	RM

7.3 Enhanced Due Diligence (EDD) triggers

EDD is mandatory where any of the following apply: PEP involvement; High customer risk rating; complex or opaque ownership (trusts, nominee shareholders, overseas holding companies); Restricted cash-intensive sectors; material links to high-risk third countries; or adverse media that is not clearly immaterial. EDD must evidence source of wealth for UBOs and source of funds for any equity injection or deposit supporting the credit.

7.4 Sequencing rule

No credit approval may be issued, even “in principle”, until KYC is complete and the Customer Risk Rating is not Prohibited. Indicative terms may be discussed, but must be marked “subject to customer due diligence and credit approval”.

8. Financial Information Requirements

Information requirements scale with Total Connected Exposure and risk, not with what the customer is willing to provide. An application missing mandatory information is incomplete and must not be submitted for approval.

8.1 Minimum information matrix

Information	TCE ≤ £100k	£100k–£1m	£1m–£10m	> £10m
Statutory accounts	Latest year (filed abbreviated/micro accounts acceptable if supported by bank data)	2 years full accounts (P&L required; filleted balance-sheet-only accounts not sufficient)	3 years full accounts	3 years audited or reviewed accounts

Information	TCE ≤ £100k	£100k–£1m	£1m–£10m	> £10m
Management accounts	Not required (Open Banking used)	Year-to-date if latest accounts > 9 months old	Quarterly, latest within 3 months	Monthly, latest within 2 months
Bank statements / Open Banking	6–12 months (non-customers)	12 months (non-customers)	12 months (non-customers)	12 months (non-customers)
Aged receivables and payables	Not required	If working-capital facility	Required	Required, monthly
Cash-flow forecast	Not required	Required if new term debt > 50% of existing debt, or Start-up/High-growth	12-month monthly forecast	12-month monthly + 3-year annual
Budget and business plan	Not required	Expansion / acquisition only	Required	Required with sensitivities
Debt schedule (all lenders)	Declaration	Required	Required	Required, reconciled to accounts
Corporation Tax computation / CT600	Not required	If accounts unaudited and TCE > £500k	Required	Required
VAT returns	Last 4 quarters if VAT-registered and no full accounts	Last 4 quarters if accounts > 9 months old	On request	On request
Director remuneration and dividends	From accounts	Schedule for last 3 years	Schedule for last 3 years	Schedule + policy
Related-party transactions	Declaration	Schedule	Schedule	Schedule, reconciled to accounts notes
Personal statement of affairs (guarantors)	If PG taken	If PG taken	If PG taken	If PG taken

Information	TCE ≤ £100k	£100k–£1m	£1m–£10m	> £10m
Group structure chart	If > 1 entity	If > 1 entity	Required	Required

8.2 When 1, 2 or 3 years of accounts are needed

- **1 year is sufficient** only where TCE ≤ £100k and the decision is supported by ≥ 6 months of transaction data, or under Start-up policy with forecasts.
- **2 years are required** for TCE of £100k–£1m, so that at least one year-on-year trend can be assessed.
- **3 years are required** above £1m TCE, for all acquisition finance, and for Restricted sectors at any exposure, so that through-the-cycle performance and trend can be assessed.

8.3 When monthly management accounts are mandatory

Monthly management accounts must be required as a condition of lending where any of the following apply: TCE > £10m; Grade ≥ 7; Watchlist Amber or Red; acquisition finance in the first 24 months; any facility with a quarterly-tested financial covenant where headroom at approval is < 20%; ABL and invoice discounting.

8.4 When forecasts are mandatory

Forecasts are mandatory for: Start-up and High-growth overlays; expansion and acquisition finance; capex where the incremental cash flow is needed to service the new debt; any application where historical DSCR is below the policy minimum; and restructuring or forbearance proposals. Forecasts must be integrated (P&L, balance sheet and cash flow), monthly for the first 12 months, and include stated assumptions for revenue, margin, working-capital days and capex.

8.5 Information quality standards

- Accounts older than 9 months from year-end at the date of approval (12 months for TCE ≤ £1m) must be supplemented by management accounts.
- Management accounts must reconcile to the bank's view of cash and debt within 5%; unexplained variances must be resolved before approval.
- Where turnover per the accounts exceeds receipts through bank accounts by more than 20%, the difference must be explained and evidenced (for example, other bankers or cash takings banked elsewhere).
- Accounts prepared by the business itself rather than an independent accountant may be accepted only where TCE ≤ £250k.
- Qualified audit opinions, emphasis-of-matter paragraphs on going concern, or a change of auditor within 24 months must be explained in the credit application.

9. Financial Analysis

Ratios are evidence, not decisions: every ratio outside its warning threshold must be explained in the credit application, but no single ratio alone approves or declines a facility. All ratios must be calculated by the bank's spreading tool from spread financial statements, using Normalised EBITDA (Section 10.4)

unless stated otherwise. IFRS 16 lease liabilities are included in debt, and lease costs excluded from EBITDA, consistently on both sides.

Spreading standard. Financial statements must be spread into the bank's standard chart (Appendix B) within 10 working days of receipt. Spreading must be done or checked by a person other than the RM for TCE > £1m. Warning thresholds below are Northbridge defaults; Sector Guides (Section 30) may tighten them.

9.1 Profitability

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Revenue growth	(Revenue$_t$ − Revenue$_{t-1}$) / Revenue$_{t-1}$	Demand and market position	Stable/positive growth at or above inflation	Decline > 10% p.a., or growth > 30% p.a. (overtrading)	Distorted by acquisitions, disposals, price inflation, FX. Strip inflation to see volume
Gross margin	Gross profit / Revenue	Pricing power and direct cost control	Stable or improving	Fall > 3pp year on year	Classification of costs between COGS and overheads varies; compare only like-for-like
EBITDA margin	Normalised EBITDA / Revenue	Operating cash-generation capacity	Sector-dependent: wholesale 3–6%, manufacturing 8–15%, services 10–20%	Fall > 2pp YoY, or below sector Guide floor	Ignores capex intensity; a high-EBITDA business can still be cash-poor
Operating margin	EBIT / Revenue	Profit after asset consumption	Positive and stable	< 3%	Depreciation policy differences
Net profit margin	Profit after tax / Revenue	Bottom-line profitability	Positive	Loss in any of last 2 years	Affected by tax, interest and one-offs

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
ROA	EBIT / Average total assets	Efficiency of the asset base	> cost of debt	< cost of debt	Old, depreciated assets flatter ROA
ROE	Profit after tax / Average equity	Return to owners	10–20%	Negative; or > 40% with low equity (thin capital)	Meaningless with negative or very low equity

9.2 Liquidity

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Current ratio	Current assets / Current liabilities	Short-term solvency	1.2x–2.0x	< 1.0x	Inflated by slow stock or bad debts; retailers and food businesses with fast cash cycles operate safely < 1.0x
Quick ratio	(Current assets − Inventory) / Current liabilities	Liquidity without selling stock	0.8x–1.2x	< 0.7x	Receivables quality matters; check ageing
Cash ratio	Cash / Current liabilities	Immediate liquidity	0.1x–0.3x	< 0.05x with overdraft > 80% utilised	Point-in-time; year-end window dressing
Working capital	Current assets − Current liabilities	Buffer funding the operating cycle	Positive, growing with sales	Negative (outside sectors with structural negative WC)	Absolute number; compare to revenue

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Operating cash conversion	Cash from operations before tax / Normalised EBITDA	How much EBITDA turns into cash	80%–100%	< 70% for 2 consecutive years	One-year swings from working capital; use 3-year average

9.3 Leverage

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Total debt / EBITDA	(All interest-bearing debt + leases) / Normalised EBITDA	Years of EBITDA to repay debt	≤ 2.5x comfortable	> 3.0x; policy max for cash-flow lending 3.0x (hospitality 2.5x), 3.5x with Central Credit Committee	Volatile EBITDA makes this unstable; use LTM and forecast
Net debt / EBITDA	(Total debt − unrestricted cash) / Normalised EBITDA	Leverage net of liquidity	≤ 2.0x comfortable	> 3.0x	Cash must be genuinely free (not trapped, not customer deposits or VAT)
Debt / equity (gearing)	Total debt / Tangible net worth	Owners' capital at risk vs lender's	< 1.0x	> 2.0x, or negative TNW	Director loans: treat as equity only if formally subordinated
Debt service coverage (DSCR)	CFADS / (Scheduled principal + interest + lease payments)	Ability to meet all debt payments from cash flow	1.5x+ strong	< 1.25x policy minimum (hospitality 1.35x); < 1.10x decline outside policy	Depends on how CFADS is defined (Section 10.2); forecast DSCR must use the bank case

9.4 Coverage

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Interest cover	EBIT / Net finance costs	Profit buffer over interest	> 4.0x	< 3.0x policy standard; < 2.0x decline outside policy	Ignores principal; flattering for interest-only debt
EBITDA interest cover	Normalised EBITDA / Net finance costs	Cash-proxy cover of interest	> 6.0x	< 4.0x	Ignores capex and tax
Fixed-charge cover (FCCR)	(EBITDA − Rent − Maintenance capex − Tax) / (Interest + Rent + Scheduled principal)	Coverage of all fixed obligations	> 1.2x	< 1.1x	Essential for retail and hospitality where rent is the largest fixed cost
DSCR	See 9.3	Primary repayment test	See 9.3	See 9.3	See 9.3

9.5 Efficiency

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Debtor days	Trade receivables / Revenue × 365	Speed of customer collection	30–60 days B2B; ~0 retail	Increase > 15 days YoY, or > 90 days	Year-end timing; VAT-inclusive receivables vs VAT-exclusive revenue overstate days by up to 20%
Creditor days	Trade payables / Cost of sales × 365	Speed of paying suppliers	30–60 days	> 90 days, or rising sharply	Using cost of sales understates

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
				(stretching suppliers)	days where overheads are on trade credit
Inventory days	Inventory / Cost of sales × 365	Stock holding	Sector-dependent: chilled food 5–20, manufacturing 40–90	Increase > 20 days YoY	Obsolete stock inflates value; check provisions
Cash conversion cycle	Debtor days + Inventory days − Creditor days	Days of working capital to fund	Stable	Increase > 20 days YoY	Composite inherits all component limitations
Asset turnover	Revenue / Average total assets	Revenue generated per £ of assets	Sector-dependent	Fall > 20% YoY	Capital-intensive sectors structurally low

9.6 Cash flow

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
Operating cash flow (CFO)	Per cash-flow statement, or EBITDA ± Δ working capital − tax	Cash generated from trading	Positive and ≥ 70% of EBITDA	Negative in any year	Small-company accounts often lack a cash-flow statement; derive from balance-sheet movements
Free cash flow (FCF)	CFO − Capex	Cash available after investment	Positive	Negative for 2 consecutive years (excluding funded growth capex)	Lumpy capex distorts single years

Ratio	Formula	What it tells the lender	Typical interpretation	Warning threshold	Limitations and industry notes
CFO / debt	CFO / Total debt	Cash-based leverage	> 25%	< 15%	Inverse of a payback period
CFO / interest	CFO / Interest paid	Cash-based interest cover	> 5.0x	< 3.0x	—
Cash conversion	FCF / Normalised EBITDA	Quality of earnings	> 50%	< 30%	Capex-heavy sectors naturally lower

9.7 Trend and peer analysis

Every financial analysis must show at least the last 3 periods side by side (2 where only 2 exist), the year-to-date position, and the sector median from the bank's peer database where available. The narrative must explain the direction of travel for each warning-threshold breach, not only the latest value.

10. Cash-Flow Assessment

Sustainable operating cash flow is the primary repayment source for all SME lending except investment and development property. The core test is a DSCR of at least 1.25x on Normalised CFADS (1.35x for hospitality), demonstrated on historical performance and, where new debt funds growth, on the bank's own forecast case.

10.1 What "sustainable" means

Cash generation is sustainable when it is (a) recurring, (b) achievable without further borrowing, (c) after the owners have taken what they realistically need to live on, and (d) after the capex needed to keep the business running at its current level. Cash flow that depends on one-off income, deferred tax, stretched suppliers or skipped maintenance is not sustainable.

10.2 CFADS methodology

```
\text{CFADS} = \text{Normalised EBITDA} - \text{Cash tax} - \text{Maintenance capex} - \Delta\text{Working capital} - \text{Sustainable owner drawings}
```

```
\text{DSCR} = \frac{\text{CFADS}}{\text{Scheduled principal} + \text{Interest} + \text{Lease and HP payments}}
```

Component	Policy treatment
Normalised EBITDA	Section 10.4. Use the lower of last full-year and LTM where management accounts show deterioration

Component	Policy treatment
Cash tax	Tax actually payable on the normalised profit, not the P&L charge. For sole traders and partnerships, deduct the principals' income tax and NIC on business profits
Maintenance capex	The higher of (i) the 3-year average capex excluding identified growth capex and (ii) 50% of annual depreciation. Growth capex funded by new debt is excluded
Δ Working capital	The investment needed to support forecast revenue at current working-capital days. Releases of working capital from falling sales are not counted as CFADS
Sustainable owner drawings	For companies: dividends required to cover directors' personal living costs where salary has been normalised to below that level, minimum £30k per working owner *(illustrative)*. For sole traders/partners: actual drawings, minimum £30k per working principal
Debt service	All scheduled payments to all lenders over the next 12 months, including HP and lease rentals, the proposed facility on its contractual profile, and RCF interest assuming 50% average utilisation (100% if historically > 75% utilised)
Interest rate	Contractual rate for fixed debt. Floating debt at the current reference rate plus margin, plus the policy stress in Section 14

10.3 Historical vs forecast cash flow

Situation	Primary test	Minimum
Refinancing or general term lending	Historical pro-forma DSCR (latest year's CFADS against proposed total debt service)	1.25x
Growth or capex lending where new cash flow is needed to service new debt	Historical pro-forma DSCR **and** bank-case forecast DSCR by the end of year 2	Historical ≥ 1.10x; bank case ≥ 1.25x

Situation	Primary test	Minimum
Acquisition finance	Combined historical pro-forma DSCR excluding unproven synergies	1.30x
Start-up	Section 31 liquidity runway; forecast DSCR	Bank case ≥ 1.20x by end of year 2

The bank case. Credit must build its own bank case and must not approve on management forecasts alone. Unless revenue is contracted, the bank case must haircut forecast *incremental* EBITDA by at least 40% and assume no improvement in margin over the latest 12 months. Contracted revenue (signed contract, ≥ the facility tenor or 3 years if shorter, with a creditworthy counterparty) may be taken at 90%.

10.4 Normalisation of EBITDA

Normalisation must be evidence-based, symmetrical (reductions as well as add-backs) and capped. Total add-backs must not exceed 15% of reported EBITDA without Senior Credit Manager approval, and 25% in any case.

Item	Add back?	Treatment and evidence
One-off costs (e.g. redundancy, site closure)	Yes, if genuinely non-recurring	Invoices or board minutes; not if the business has incurred similar costs in 2 of the last 3 years
Exceptional income (e.g. insurance receipts, asset sale profits, grants)	**Deduct**	Remove fully from EBITDA
Owner remuneration below market	**Deduct** the shortfall	Normalise to a market salary for the role (bank's benchmark table), e.g. MD of a £10m–£25m business £100k–£130k *(illustrative)*
Owner remuneration above market	Add back the excess, max 50% of excess	Only if a binding reduction is documented (board minute plus covenant)
Related-party expenses	Adjust to arm's length	Management charges, consultancy to family members, intercompany recharges
Personal expenses through the business	Add back if evidenced and ceased	Cars, travel, school fees; require written confirmation they have stopped

Item	Add back?	Treatment and evidence
Rent paid to related parties (e.g. directors' SIPP)	Adjust to market rent	If below market, **deduct** the shortfall. If above market, add back excess only if the lease is amended
Director loans	No EBITDA effect	Repayments of director loans count as debt service unless subordinated by deed of postponement
Non-recurring legal costs	Add back max 50%	Litigation can recur; full add-back only if the matter is closed and evidenced
Restructuring costs	Add back if programme complete	Not while the programme is ongoing or repeated
Acquisition costs (deal fees)	Yes	Transaction-specific invoices only; integration costs only for 12 months post-completion
COVID-era effects (grants, business rates relief, furlough, CBILS/BBLS interest relief)	**Deduct** income; costs not added back	Periods to FY2022 are not representative; place more weight on post-2022 performance
Accounting changes (IFRS 16, revenue recognition, capitalised development costs)	Restate to a consistent basis	Capitalised development costs are deducted from EBITDA as if expensed, unless supported by a funded R&D tax credit receivable
Unrealised FX and fair-value movements	Remove	Non-cash
Pro-forma synergies	No	Excluded from the credit case; may be shown as upside only

10.5 Seasonality and volatility

- Seasonal businesses (agriculture, tourism, retail, construction) must provide a monthly cash-flow forecast. Peak debt must be covered by committed facilities with ≥ 15% headroom at the forecast peak.
- Where EBITDA has varied by more than 25% between any two of the last 3 years, CFADS must use the 3-year average or the latest year, whichever is lower.

- Businesses with high operating leverage (fixed costs > 60% of total costs) must be tested with the moderate stress applied at month level, not only annually.

11. Credit Risk Assessment

Every SME obligor is rated on the 10-grade Northbridge Master Scale plus a default grade, D. The grade measures the obligor's probability of default only; security, guarantees and facility structure affect LGD and are assessed separately. Mixing the two — for example upgrading a weak borrower because it has good property security — is prohibited.

Why 10 grades rather than 8. An 8-grade scale with a single "Higher Risk" band would place obligors with a 1% and a 5% PD in the same grade, a fivefold difference in expected loss and capital. Ten performing grades with doubling PD boundaries keep each grade economically homogeneous, which is what pricing, limits and IFRS 9 staging rely on.

11.1 Northbridge Master Scale *(illustrative)*

Grade	Description	12m PD band	Central PD	Indicative external equivalent	Appetite for new lending
1	Exceptional	0.03% – 0.05%	0.04%	AA and above	Full appetite
2	Very low risk	0.05% – 0.10%	0.07%	A	Full appetite
3	Low risk	0.10% – 0.20%	0.15%	BBB+ / BBB	Full appetite
4	Low-moderate risk	0.20% – 0.40%	0.30%	BBB−	Full appetite
5	Moderate risk	0.40% – 0.80%	0.60%	BB+	Full appetite
6	Acceptable risk	0.80% – 1.60%	1.20%	BB	Standard appetite
7	Elevated risk	1.60% – 3.20%	2.40%	BB− / B+	Selective; one authority level higher
8	Higher risk	3.20% – 6.40%	4.80%	B	Restricted; Central Credit Committee for new money > £250k; no new unsecured lending
9	High risk (Watch)	6.40% – 12.80%	9.60%	B− / CCC+	No new money except

Grade	Description	12m PD band	Central PD	Indicative external equivalent	Appetite for new lending
					remedial lending under Section 26
10	Very high risk (Watch)	12.80% – < 100%	25.00%	CCC and below	No new money except remedial lending under Section 26
D	Default	100%	100%	D	Business Recoveries only

The 0.03% PD floor applied to grade 1 is a Northbridge choice and is not below any prudential PD floor applicable to the exposure class *(illustrative)*.

11.2 Rating process

1. The relevant PD model (Section 12) produces a model grade.
2. The RM proposes, and Credit independently confirms, any qualitative adjustment within ±1 grade, using the factors in Section 13.
3. Adjustments of more than 1 grade, or any upgrade where the model grade is 8–10, are Credit Overrides and require Senior Credit Manager approval (Section 34).
4. The final grade, the model grade and the rationale for any difference are recorded in the rating system.
5. Grades must be refreshed at least annually, within 30 days of receiving new annual accounts, and within 10 working days of a Red Early Warning Indicator (Section 23).

11.3 Risk parameters

Parameter	Definition	How Northbridge estimates it
PD	Probability of default in 12 months	Master Scale central PD of the final grade; long-run average for capital, point-in-time for IFRS 9
LGD	Loss as % of EAD after recoveries and costs	Facility-level LGD model by collateral type, seniority, product and time-to-recovery; downturn LGD for capital
EAD	Exposure at default	Drawn balance plus Credit Conversion Factor (CCF) ×

Parameter	Definition	How Northbridge estimates it
		undrawn limit. Internal CCFs: overdraft 70%, RCF 60%, committed undrawn term loan 100%, LCs 20%, performance guarantees 50%, financial guarantees 100% *(illustrative)*
Expected Loss (EL)	Average annual loss	EL = PD × LGD × EAD
Unexpected Loss (UL)	Loss above EL at a high confidence level, covered by capital	Basel IRB risk-weight function; captured through RWA
RWA	Capital-weighted exposure	IRB risk-weight function using PD, LGD, maturity and an SME firm-size adjustment where applicable; reported by Finance
RAROC	Risk-adjusted return on allocated capital	See formula below; hurdle 14% for new SME lending *(illustrative)*

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\text{EL} = \text{PD} \times \text{LGD} \times \text{EAD}
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\text{RAROC} = \frac{\text{Net interest income} + \text{Fees} - \text{Operating cost} - \text{EL} - \text{Tax}}{\text{Allocated economic capital}}
```

Illustrative LGD by security type *(unstressed, used for pricing and EL)*

Security position	Indicative LGD
Cash-covered (≥ 100%)	5%
First charge on commercial property, LTV ≤ 60%	15%–20%
First charge on property, LTV 60%–80%	25%–30%
All-asset debenture with tangible assets, no property	40%
Debenture over service business (few tangible assets)	55%
Unsecured (personal guarantee only)	65%
Fully unsecured	75%

11.4 How the grade drives the decision

Decision dimension	Grades 1–4	Grades 5–6	Grade 7	Grade 8	Grades 9–10
New lending	Yes	Yes	Selective	Restricted	Remedial only
Authority level (Section 19)	Standard	Standard	+1 level	Central Credit Committee for new money > £250k	BSU / Central Credit Committee
Max unsecured exposure (multiple of standard, Section 15)	1.0x	1.0x	0.5x	Nil	Nil
Max tenor (term lending)	Product max	Product max	7 years	5 years	Per restructure plan
Covenant package	Light (1–2 covenants)	Standard	Standard + monthly MI	Full + monthly MI	Full + cash monitoring
Review frequency	Annual	Annual	Semi-annual	Quarterly	Monthly (BSU)
Minimum margin over funding *(illustrative)*	1.75%	2.50%	3.50%	4.75%	Case-by-case
IFRS 9 stage at origination	Stage 1	Stage 1	Stage 1	Stage 1	Stage 2 at least

12. Credit Scorecard

Northbridge uses four PD models for SMEs; the SME Application Scorecard described here rates obligors with TCE of £100k–£10m. Its score converts to a PD through a fixed scaling (600 points = 50:1 good:bad odds; every 40 points doubles the odds), then to a Master Scale grade.

12.1 PD model inventory *(illustrative)*

Model	Population	Type	Main data
Micro Behavioural Scorecard	TCE ≤ £100k, banked ≥ 6 months	Logistic regression on binned variables	Account conduct, Open Banking, bureau

Model	Population	Type	Main data
SME Application Scorecard	TCE £100k–£10m	Logistic regression on binned variables, plus qualitative module	Spread financials, conduct, bureau, qualitative
Mid-Market PD Model	TCE £5m–£50m or turnover > £25m	Expert-calibrated shadow-rating model	Financials, industry, management, external data
Start-up Scorecard	Trading < 24 months	Logistic regression; heavy weight on principals	Principals' bureau, equity, business plan quality, sector

12.2 SME Application Scorecard structure

Weights show each category's maximum share of the score range. Security is deliberately absent: it affects LGD, not PD.

Category	Weight	Main variables	Variable type
Cash flow and debt service	15%	Historical DSCR; CFO / total debt	Continuous (binned)
Leverage	12%	Net debt / Normalised EBITDA; gearing	Continuous (binned)
Account conduct	12%	Days in excess (6m); max utilisation (12m); returned items; credit turnover trend	Continuous (binned), binary, trend
Credit bureau behaviour	10%	Commercial bureau score; CCJs; trade-payment days beyond terms	Continuous (binned), binary
Liquidity	8%	Current ratio; quick ratio	Continuous (binned)
Profitability	8%	EBITDA margin; net margin	Continuous (binned)
Industry risk	8%	Northbridge sector risk score (1–5)	Categorical
Business performance	7%	Revenue growth (3-year CAGR); EBITDA margin trend	Trend

Category	Weight	Main variables	Variable type
Management quality	7%	Experience, succession, financial reporting quality (Section 13)	Categorical (scored by Credit)
Customer relationship	5%	Years banked; products held	Categorical
Business model / concentration	5%	Largest customer % of revenue; recurring revenue %	Continuous (binned), categorical
External environment	3%	Sector forward-looking outlook overlay	Categorical
Total	**100%**		

How each variable type is handled

- **Continuous** variables (ratios) are binned into 4–8 ranges using Weight of Evidence, so each bin carries a monotonic risk ordering. Binning stops the model over-reacting to extreme values and handles missing data as its own bin.
- **Categorical** variables (sector score, management rating) take a points value per category.
- **Binary** variables (any CCJ in 24 months, any returned item in 3 months) take a fixed penalty.
- **Trend** variables compare the latest period to prior periods (for example, EBITDA margin change in percentage points), because direction of travel predicts default independently of the current level.

Example attribute points (extract)

Variable	Bin	Points
Historical DSCR	< 1.00x	0
	1.00x – 1.24x	22
	1.25x – 1.49x	48
	1.50x – 1.99x	70
	≥ 2.00x	85
Net debt / EBITDA	> 4.0x	0
	3.0x – 4.0x	18
	2.0x – 2.99x	40
	1.0x – 1.99x	58

Variable	Bin	Points
	< 1.0x	68
EBITDA margin trend (pp, 2-year)	< −3.0pp	0
	−3.0pp to −1.0pp	15
	−1.0pp to +1.0pp	30
	> +1.0pp	38
Any CCJ in 24 months (business or principals)	Yes	−45
Largest customer % of revenue	> 40%	0
	25% – 40%	12
	< 25%	26

The base points and all attribute points sum to a total score, typically 400–850.

12.3 Score-to-PD calibration

```
\text{Score} = 600 + \frac{40}{\ln 2}\,\ln\!\left(\frac{\text{Odds}}{50}\right),
\qquad \text{PD} = \frac{1}{1 + \text{Odds}}
```

Score band	Grade	PD band
≥ 813	1	0.03% – 0.05%
773 – 812	2	0.05% – 0.10%
733 – 772	3	0.10% – 0.20%
693 – 732	4	0.20% – 0.40%
652 – 692	5	0.40% – 0.80%
612 – 651	6	0.80% – 1.60%
571 – 611	7	1.60% – 3.20%
529 – 570	8	3.20% – 6.40%
485 – 528	9	6.40% – 12.80%
< 485	10	≥ 12.80%

The model is calibrated to a long-run average default rate covering at least one downturn, then mapped to point-in-time PDs for IFRS 9 using macroeconomic adjustments (Section 28). Calibration is re-tested annually: the observed default rate in each grade must fall within the binomial 95% confidence interval of the grade's central PD, and the total portfolio default rate within ±20% of predicted.

12.4 Cut-offs

Score / grade	Decision engine (TCE ≤ £100k)	Manual underwriting
≥ 652 (grades 1–5)	Auto-approve if no policy rule fails	Approve if policy met
571 – 651 (grades 6–7)	Refer to credit	Approve with conditions if policy met
529 – 570 (grade 8)	Auto-decline	Restricted (Section 11.4)
< 529 (grades 9–10)	Auto-decline	Remedial only

Cut-offs are set by Portfolio Credit Risk to the point where marginal RAROC equals the 14% hurdle, and are reviewed semi-annually.

12.5 Overrides

- **Low-side override:** declining or downgrading an applicant who passes. Permitted with a recorded reason code.
- **High-side override:** approving or upgrading an applicant who fails. Requires Senior Credit Manager approval, a reason code, and is reported as a Credit Override (Section 34).
- Override rates are monitored monthly. High-side override rates above 5% of approvals by value, or overrides whose subsequent default rate exceeds the cut-off grade's PD by more than 50%, trigger a model and process review.

12.6 Model limitations

- The scorecard is trained on Northbridge's own history. It cannot reflect risks absent from that history (new sectors, unprecedented shocks).
- Financial ratios lag reality by up to 21 months (accounts filed up to 9 months after a 12-month year). Account conduct and Open Banking variables partly offset this.
- Small samples in some sectors limit discrimination within those sectors; Sector Guides apply qualitative overlays.
- The model ranks risk; it does not decide affordability, purpose or structure. Those remain credit judgements.

12.7 Reject inference

Applicants previously declined have no observed outcome, so a model built only on approved applicants is biased towards them. Northbridge applies reject inference at each redevelopment using (a) bureau outcomes of declined applicants who obtained credit elsewhere and (b) fuzzy augmentation, weighting inferred outcomes by their predicted PD. Inferred cases are capped at 30% of the development sample, and the model is tested with and without them.

12.8 Model drift

Drift is monitored monthly (Section 35). Triggers:

Metric	Amber	Red
Population Stability Index (score)	0.10 – 0.25	> 0.25
Characteristic Stability Index (any variable)	0.10 – 0.25	> 0.25
Gini (12-month outcome window)	Fall > 5 points vs development	Fall > 10 points, or below 50
Calibration (observed vs predicted default rate)	±20% – ±35%	> ±35%

13. Qualitative Credit Assessment

Qualitative assessment captures risks the numbers do not yet show. It is scored on defined scales so that two credit officers reach the same view, and it can move the model grade by at most one notch without an override.

13.1 Northbridge "5 Cs" adapted for modern SME lending

The traditional 5 Cs remain useful, but Northbridge separates them by what they actually inform: PD, LGD or structure.

C	Traditional meaning	Northbridge interpretation	Informs
Character	Honesty and willingness to repay	Management integrity, transparency, governance, reporting quality and track record with lenders, HMRC and suppliers	PD (management score); KYC
Capacity	Ability to repay	Normalised CFADS, DSCR under base and stress, bank-case forecasts	PD (cash-flow score); approval
Capital	Owners' stake	Tangible net worth, owner equity in the deal, willingness to inject capital in stress	PD; structure
Collateral	Security	Realisable value after haircuts, ranking and enforceability	LGD only

C	Traditional meaning	Northbridge interpretation	Informs
Conditions	Economic environment	Sector outlook, macro sensitivities, climate and transition risk, regulatory change, plus facility conditions (covenants, CPs)	PD (industry/external); structure

13.2 Management

Factor	Strong (score 3)	Adequate (2)	Weak (1)
Experience	> 10 years in sector; has managed through a downturn	3–10 years	< 3 years, or new to sector
Succession	Documented plan; second-tier management capable	Informal plan	No succession; owner > 65 with no plan
Key-person dependency	No single person critical; key-person insurance held	One key person, insured	One key person, uninsured
Governance	Board with non-executive or adviser; regular board minutes	Directors meet informally but record decisions	No governance; decisions undocumented
Financial sophistication	Monthly management accounts within 20 days; budgets met ±10%	Quarterly MI; budgets met ±20%	No MI; accounts filed late
Track record with lenders	No arrears or covenant breaches	Minor, resolved	Recent breaches, arrears or defaults

13.3 Business model

Factor	Strong	Adequate	Weak
Competitive advantage	Clear, durable (brand, licence, proprietary process, location)	Some differentiation	Price-taker in a commodity market

Factor	Strong	Adequate	Weak
Customer concentration	Largest customer < 15%; top 5 < 40%	Largest 15%–30%	Largest > 30% (policy trigger) or top 5 > 70%
Supplier concentration	Multiple suppliers per input	Some dependency with alternatives	Single-source critical input
Pricing power	Passes cost increases through within 3 months	Partial pass-through with lag	Fixed-price contracts > 12 months without indexation
Recurring revenue	> 60% contracted or subscription	30%–60%	< 30%
Contract quality	Long-term, creditworthy counterparties, termination protection	Annual contracts	Purchase-order basis; terminable at will

Customer concentration rule. Where one customer exceeds 30% of revenue, the application must assess that customer's creditworthiness, the contract terms and remaining tenor, and the cash-flow effect of losing that customer. Above 50%, Senior Credit Manager approval is required (Section 6.5).

13.4 Industry

The Northbridge sector risk score (1 = low to 5 = high) is set by Portfolio Credit Risk for each SIC code from: cyclicality (correlation of sector default rate with GDP), regulatory intensity, technological disruption, commodity exposure, and economic sensitivity to interest rates and consumer demand. The RM may not change the sector score, but must explain where the obligor differs from its sector (for example, a contractor with only public-sector clients).

13.5 External environment

Each application must state the obligor's sensitivity to the following, quantified where material (> 10% EBITDA impact):

Factor	What to assess
Interest rates	Floating-rate share of debt; impact of +300bps on DSCR (Section 14)
Inflation	Cost-base composition; ability to reprice contracts
Consumer demand	B2C exposure; discretionary vs essential spend
Energy prices	Energy as % of costs; contract fix expiry dates
Labour costs	Staff costs as % of revenue; National Living Wage exposure; skills shortages

Factor	What to assess
Exchange rates	Unhedged FX purchases or sales > 10% of revenue; hedging policy

14. Stress Testing

Every application with TCE above £250k, and every Restricted-sector or grade 7–10 application at any size, must be stress tested on the bank case. The borrower must pass the mild stress outright, survive the moderate stress on cash flow or committed liquidity, and show adequate liquidity and security cover under the severe stress.

14.1 Standard scenarios

Shocks apply together, to the bank-case year in which debt service is highest (usually year 1 or 2), and are held for 12 months.

Scenario	Revenue	EBITDA margin	Interest rate (floating debt)	Working capital
Mild	−10%	−2 percentage points	+100bps	No release from lower sales
Moderate	−20%	−4 percentage points	+300bps	No release; debtor days +10
Severe	−30%	−6 percentage points	+500bps	No release; debtor days +15; supplier credit −10 days

Mitigating management actions (cutting dividends, deferring maintenance capex) may be shown separately but must not be used to pass the mild or moderate test, except that discretionary distributions may be removed in the severe scenario.

14.2 Pass criteria

Scenario	Test	Requirement	If failed
Mild	Stressed DSCR	≥ 1.10x	Decline or restructure (reduce amount, extend tenor within asset life, add equity)
Moderate	Stressed DSCR, or liquidity cover of the shortfall	DSCR ≥ 1.00x, **or** cash plus undrawn committed facilities covers ≥ 12 months of the CFADS shortfall	Decline or restructure; approval outside this requires a Policy Exception at Senior Credit Manager level

Scenario	Test	Requirement	If failed
Severe	Liquidity runway and forced-sale security cover	Runway ≥ 6 months **and** forced-sale security cover ≥ 80% of Northbridge exposure (≥ 100% for grades 7–8)	Reduce unsecured exposure, add security or guarantees; otherwise Senior Credit Manager approval with documented rationale

The severe scenario is not a survival test. Many sound SMEs would not service full debt through a 30% revenue fall; its purpose is to size the bank's potential loss and the time available to act.

14.3 Stress metrics

Metric	Formula / method
DSCR stress	Stressed CFADS / Stressed debt service
Interest coverage stress	Stressed EBIT / Stressed interest; must remain ≥ 1.5x under mild
Liquidity runway (months)	(Cash + undrawn committed facilities) / Monthly CFADS shortfall
Covenant headroom	Base-case headroom must be ≥ 20% for leverage and DSCR covenants at the first test date (15% with Credit Manager approval). The mild stress must not breach any financial covenant in the first 12 months
Cash burn	For loss-making or start-up businesses: monthly operating cash outflow under base and moderate stress
Refinancing risk	Any balloon > 30% must be refinanceable at maturity at +200bps on the then-reference rate, within policy LTV and DSCR, using the bank case for the maturity year

```
\text{Runway (months)} = \frac{\text{Cash} + \text{Undrawn committed facilities}}{(\text{Stressed debt service} - \text{Stressed CFADS}) / 12}
```

14.4 Sector-specific stresses

These replace the generic margin shock for the named sector where they are more severe.

Sector	Additional or replacement stress
Hospitality	Revenue −25% (moderate); energy costs +50%; wages +8%

Sector	Additional or replacement stress
Construction	Largest contract cancelled or delayed 6 months; retentions unpaid; one key subcontractor fails
Food manufacturing and processing	Loss of largest customer (pro-rata over 6 months); input commodity +20% with 6-month pass-through lag
Agriculture	Yield −20%; output price −15%; support-payment transition per the latest scheme schedule
Transport and logistics	Fuel +30%; driver wages +10%
Retail	Like-for-like sales −15%; rent review +10%
Recruitment	Largest client lost; debtor days +20
Commercial property (investment)	Rental income −20% via voids; capital value −25%; interest +300bps (ICR test, Section 32)
Import / export	GBP ±15% against main trading currency, whichever direction hurts
Energy-intensive manufacturing	Energy +50%; carbon cost per Climate Risk Standard transition scenario

14.5 Climate overlay

For property in high flood-risk zones and obligors in carbon-intensive sectors, the severe scenario must also include the relevant physical or transition shock from Section 37 (for example, uninsurable flood risk reducing property value by 30%).

15. Lending Limits

The maximum Northbridge will lend to an obligor is the lowest of four independent limits: the cash-flow limit, the product limit, the grade-adjusted unsecured limit, and the concentration limit. Security can increase what is safe to lend only within the cash-flow limit; it never lifts it.

15.1 Cash-flow (debt capacity) limit

Total senior debt to all lenders must not exceed:

Measure	Standard	Hospitality / Restricted sectors	With Central Credit Committee approval
Senior debt / Normalised EBITDA	3.0x	2.5x	3.5x (never above 4.0x under this policy)

Measure	Standard	Hospitality / Restricted sectors	With Central Credit Committee approval
Debt service at policy DSCR	Debt service ≤ CFADS / 1.25	≤ CFADS / 1.35	≤ CFADS / 1.15

```
\text{Max annual debt service} = \frac{\text{CFADS}}{\text{Minimum DSCR}}, \qquad \text{Max new debt} = \text{PV of available debt service over tenor at the stressed rate}
```

15.2 Product limits

Product	Maximum
Overdraft	Lower of 15% of annual turnover and £2m (20% / £3m for seasonal businesses with a monthly forecast)
Unsecured term loan	Lower of 10% of turnover and the grade-adjusted unsecured limit (15.3)
Business credit card	£25k per card, £100k per obligor
Invoice discounting	85% of eligible debts
Owner-occupied property loan	70% LTV and DSCR from trading cash flow
Investment property loan	65% LTV and ICR ≥ 1.75x at stressed rate
Development	60% LTGDV, 75% LTC
Single SME obligor (TCE)	£50m (above this, Corporate Credit Policy)

15.3 Grade-adjusted unsecured exposure

Unsecured exposure means exposure not covered by forced-sale value of tangible security (personal guarantees do not count as security for this limit).

Segment	Grades 1–4	Grades 5–6	Grade 7	Grade 8+
Micro	£100k	£50k	£25k	Nil
Small	£500k	£250k	£100k	Nil
Medium	£2m	£1m	£500k	Nil
Upper Mid-Market	£5m	£2.5m	£1m	Nil

Unsecured exposure must also not exceed 1.0x Normalised EBITDA for grades 1–6, and 0.5x for grade 7.

15.4 Concentration limits

Limit	Maximum	Owner
Single connected group (TCE)	£50m, and ≤ 2% of SME book Tier 1 capital allocation	Central Credit Committee
Connected-party exposure to directors' other businesses	Aggregated into the group TCE (Section 33)	Credit
Any single sector (excl. owner-occupied property)	18% of SME exposure (Amber), 22% (Red)	GCRC
Commercial real estate investment + development	25% of SME exposure; development ≤ 4%	GCRC
Hospitality	6% of SME exposure	GCRC
Construction	5% of SME exposure	GCRC
Grade 8–10 exposure	7% of SME exposure	GCRC
Any single UK region (ITL1)	25% of SME exposure	GCRC

Applications that would cause a portfolio concentration limit to breach Amber require Central Credit Committee approval and notification to Portfolio Credit Risk; at Red, approval requires GCRC.

15.5 Worked limit test (illustrative)

A grade-5 Small-segment engineering firm, turnover £6m, Normalised EBITDA £720k, CFADS £480k, existing debt service £150k, no property.

Test	Calculation	Limit
Cash-flow (leverage)	3.0 × £720k	£2.16m senior debt
Cash-flow (DSCR)	£480k / 1.25 − £150k = £234k available annual debt service → 5-year amortising at 8% stressed	c.£935k new debt
Unsecured (grade 5, Small)	Lower of £250k and 1.0x EBITDA	£250k unsecured
Product (unsecured term loan)	10% of £6m	£600k

Maximum new lending is c.£935k, of which no more than £250k may be unsecured. The remaining c.£685k requires tangible security with forced-sale value at least equal to that amount.

16. Security and Collateral

Security is a secondary repayment source that reduces loss when the primary source fails; it must never be the reason a loan is approved. Collateral values fall exactly when borrowers fail — a factory's value

drops when its occupier goes bust, stock spoils, and receivables are disputed — so a loan the business cannot service from cash flow is a future enforcement case, whatever the security.

16.1 Valuation bases

Term	Definition	Use
Market Value (MV)	RICS Red Book value on a willing buyer/seller basis	Property LTV covenants
Forced-Sale Value (FSV)	Value achievable in a restricted marketing period (typically 90–180 days)	Security cover and stress testing
Lending Value	MV or book value less the policy haircut	Unsecured-exposure calculation (Section 15.3)
Realisable Value	Lending Value less costs of enforcement and sale (typically 5%–10%)	LGD estimation

```
\text{LTV} = \frac{\text{Secured exposure}}{\text{Market value}} \qquad \text{Security cover} = \frac{\sum \text{Lending values}}{\text{Total Northbridge exposure}}
```

16.2 Haircuts and valuation requirements *(illustrative)*

Collateral	Haircut to MV / book value	Valuation basis	Valuation frequency	Notes
Cash deposit (GBP, Northbridge, under charge and set-off)	0%	Balance	Continuous	Must be blocked; FX cash 10% haircut
Residential property (directors' home, 3rd-party charge)	20%	RICS valuation / AVM ≤ £1m	3 years; annually if LTV > 70%	Occupier consent; independent legal advice for non-borrowers
Commercial property — owner-occupied	30%	RICS full valuation	3 years; annually if grade ≥ 7 or LTV > 60%	Specialist trading property (pubs, care homes, hotels): 40% haircut, valued on trading-potential basis

Collateral	Haircut to MV / book value	Valuation basis	Valuation frequency	Notes
Commercial property — investment	25%	RICS full valuation	Annually if > £5m; 3 years otherwise	Tenant covenant and lease length reviewed
Receivables (under debenture, not invoice finance)	50% of eligible debts < 90 days	Aged debtor list	Quarterly	Ineligible: connected, overseas uninsured, > 90 days, contra
Inventory — finished goods, non-perishable	50%	Book value / desktop appraisal	Annually	Perishable goods: 80% haircut; WIP: 100%
Plant and machinery — general purpose	50%	Desktop or physical valuation	3 years; at origination if > £250k	
Plant and machinery — specialist or installed	75%	Specialist asset valuer	At origination; 3 years	Removal and reinstallation costs reduce FSV
Vehicles (HGVs, vans)	40%	Trade guide (e.g. CAP / Glass's)	Annually	
Listed shares / investments	30%	Market price	Monthly	Not accepted if connected to borrower
Life policy assignment	Surrender value only	Insurer statement	Annually	
Goodwill, intangibles, IP	100%	—	—	No lending value for policy purposes

All property valuations must be instructed by Northbridge from its approved valuer panel, addressed to Northbridge, and less than 6 months old at drawdown. Valuer rotation is required after 3 consecutive instructions on the same asset.

16.3 Security types

Security	What it covers	Key points
Debenture (fixed and floating charge)	All assets of a company or LLP	Standard for all corporate lending above £25k. Floating-charge realisations are subject to insolvency costs and the prescribed part for unsecured creditors, and rank after preferential creditors including HMRC for certain taxes
Fixed charge	Specific assets (property, P&M, book debts if properly controlled)	Ranks ahead of floating-charge creditors; book debts only qualify as fixed if the bank genuinely controls proceeds
Floating charge	Circulating assets (stock, uncontrolled debts)	Crystallises on default; lower recovery
Legal charge / mortgage over property	Specific land and buildings	First legal charge required unless prior charge-holder signs a deed of priority
Personal guarantee	Guarantor's personal assets	Section 17; not counted in security cover
Corporate guarantee / cross-guarantee	Group companies	Must be supported by corporate benefit; upstream guarantees reviewed by Legal
Cash cover	Deposits under charge and set-off	Strongest security
Assignment of receivables / insurance / contracts	Specific income streams	Notice to debtors/insurers where possible
Chattel mortgage / title retention	Vehicles, specified equipment	Asset finance products retain title

16.4 Perfection, ranking and priority

- Charges by companies and LLPs must be registered at Companies House within 21 days of creation, or they are void against a liquidator, administrator and creditors. Legal Operations owns registration; the RM must confirm registration before drawdown on any facility > £250k.
- Property charges must be registered at HM Land Registry, Registers of Scotland or Land Registry NI as applicable.

- Existing charges must be identified from the Companies House register. Where another lender holds a charge, a Deed of Priority or Intercreditor Agreement is required before Northbridge relies on the asset.
- Director loans relied upon as quasi-equity must be subordinated by a Deed of Postponement.

16.5 Cross-collateralisation

All-monies security taken by Northbridge secures all liabilities of the obligor. Third-party security (for example, a director's home) must be limited to a stated amount unless independent legal advice confirms the provider understands the all-monies effect. Releasing security from one facility to support another requires the original approver's authority level.

16.6 Why collateral does not substitute for repayment capacity

Approving on security alone creates three harms: the bank incurs enforcement costs and reputational risk; the customer loses the business and often the family home; and capital and impairment rise. Accordingly, an application that fails the cash-flow tests in Section 10 must be declined even if security cover exceeds 100%, except where the facility is a property-investment, development or bridging loan underwritten under Section 32 with an evidenced exit.

17. Personal Guarantees

A personal guarantee (PG) aligns the owner's interests with the bank's; it is not a source of repayment Northbridge underwrites to. PGs are taken where they change behaviour and recoveries in a meaningful way, and are limited to an amount the guarantor could realistically meet.

17.1 When a PG is required

Circumstance	Requirement
Unsecured exposure (Section 15.3) > £25k to an owner-managed business	PG from each owner-director with ≥ 25% shareholding
Grade 7–8 obligor	PG from owner-directors with ≥ 25% shareholding, regardless of security
Start-up	PG mandatory (unless the government scheme prohibits it)
Director loan accounts owed to the company > £50k	PG, or repayment of the loan as a CP
Partnerships and sole traders	Not applicable — principals are already personally liable

17.2 When a PG may be waived

A PG may be waived by a Credit Manager where all of the following apply: grade 1–5; security cover (lending value) ≥ 100%; Normalised EBITDA ≥ £1m; and professional management with no single owner controlling > 50%. The waiver and its rationale must be recorded.

17.3 Amount and structure

- **Guarantee amount:** limited to the lower of (a) 100% of unsecured exposure, plus 20% of total exposure, and (b) 50% of the guarantor's verified net worth excluding their main residence (unless a separate charge is taken over it). Unlimited PGs are not permitted for SME lending.
- **Multiple guarantors:** joint-and-several liability, with each guarantor's maximum stated. Where shareholdings differ materially, amounts may be pro-rated to shareholding.
- **Net worth assessment:** a signed statement of assets and liabilities, verified for assets relied upon (Land Registry title, investment statements). Statements must be refreshed at annual review for grades ≥ 7.
- **Affordability:** the guarantee must not, if called, leave the guarantor unable to meet essential living costs and secured debts. A guarantee that could only be met by selling the family home must be disclosed to the guarantor in writing.

17.4 Guarantor protection

- Every guarantor must receive Independent Legal Advice (ILA) from a solicitor not acting for the borrower or bank, evidenced by a signed solicitor's certificate, before the guarantee is executed.
- **Spouses and partners** who are not involved in the business must not be asked to guarantee. Where they co-own a property offered as security, they must take ILA, and the bank must take reasonable steps to ensure consent is free from undue influence, consistent with established case law on third-party security.
- **Non-owner directors** (employee directors with < 5% shareholding) may not be asked for PGs.
- Guarantors must be told the maximum liability, the facilities covered, and that the guarantee covers future increases only if stated.
- Guarantors are informed when the borrower is in default and before any call is made, and are offered a reasonable period to discuss repayment.

17.5 Guarantees in LGD and security cover

PGs are excluded from security cover and from the unsecured-exposure calculation. Historical recoveries on PGs may be reflected in LGD models only where supported by recovery data.

18. Covenants

Covenants are early-warning tripwires, not penalties: they must be set with enough headroom that a healthy business does not breach them, but tight enough that a deteriorating one breaches while Northbridge still has options. Standard headroom at the first test date is 20%–30% against the bank case.

18.1 Financial covenants

Covenant	Definition	Typical level *(illustrative)*	When required
DSCR	LTM CFADS / LTM debt service	≥ 1.20x (hospitality 1.30x)	All term debt > £500k
Interest cover	LTM EBIT / LTM net finance costs	≥ 2.5x	RCFs and interest-only facilities
Net debt / EBITDA	Net debt at test date / LTM Normalised EBITDA	Set at bank-case value + 25% headroom, max 3.25x	All cash-flow lending > £1m
LTV	Secured exposure / latest MV	Approval LTV + 10pp, max 75%	Property-secured lending
Minimum tangible net worth	Net assets − intangibles + subordinated director loans	80% of latest TNW	Grades ≥ 7; acquisition finance
Minimum liquidity	Cash + undrawn committed facilities	2 months' operating costs, or as set	Start-ups; High-growth; Restricted sectors
ICR (property)	Net rental income / interest	≥ 1.50x (tested at actual rate)	Investment property

18.2 Non-financial covenants and undertakings

Covenant	Standard requirement
Information	Annual accounts within 9 months of year-end (6 months for TCE > £10m); management accounts per Section 8.3; compliance certificate with each test
Insurance	Full reinstatement cover on charged property; business interruption cover ≥ 12 months; bank noted as loss payee
Tax compliance	All taxes paid when due or under an agreed Time to Pay arrangement disclosed to the bank
Negative pledge	No security granted to another lender without consent

Covenant	Standard requirement
Additional borrowing	No new borrowing > £100k (or 5% of total debt if higher) without consent; asset finance carve-out up to an agreed basket
Distributions	No dividends or director-loan repayments if (a) any covenant is breached or (b) a stated leverage/DSCR threshold is not met after the distribution
Change of control	No change in > 25% of ownership or in key management without consent
Change of business	No material change to the nature of the business
Disposals	No disposal of assets > 10% of total assets without consent
Banking	Main operating account maintained with Northbridge

18.3 Testing frequency

Grade / situation	Financial covenant testing
Grades 1–5, TCE ≤ £5m	Semi-annual on LTM figures (annual if TCE ≤ £1m)
Grades 6–7, or TCE > £5m	Quarterly on LTM figures
Grade 8+, Watchlist, acquisition finance in first 24 months	Quarterly, with monthly management-accounts review

18.4 Breach classification and response

Classification	Definition	Required response	Owner
Technical breach	Information late or a non-financial covenant breached with no credit deterioration	Written reservation of rights; cure within 30 days	RM
Minor financial breach	Financial covenant missed by ≤ 10% with an evidenced, temporary cause	Waiver or reset possible; Watchlist Amber review; grade review	RM + Credit Manager

Classification	Definition	Required response	Owner
Material financial breach	Missed by > 10%, or a second consecutive breach	Watchlist Amber or Red; grade review within 10 days; consider independent business review	Credit Manager; BSU if Red
Event of default	Payment default, insolvency event, misrepresentation, cross-default	Watchlist Red; BSU referral within 5 working days	BSU

Cure periods. Equity-cure rights (owners injecting cash to cure a leverage or DSCR breach) may be offered for TCE > £5m, limited to twice over the facility life and not in consecutive quarters. Cured amounts count as EBITDA for the test only, never for subsequent margin step-downs.

18.5 Waivers and resets

- Waiver authority is the authority level that approved the facility; a reset that loosens a covenant by more than 25% requires one level higher.
- Waivers may carry a fee and margin increase, and must be considered for forbearance classification (Section 26) where the borrower is in financial difficulty.
- A waiver must state its expiry; open-ended waivers are prohibited.

18.6 Escalation

Every financial covenant breach must be recorded in the covenant-monitoring system within 5 working days of the compliance certificate (or its due date if not received), and the obligor must be assessed against Watchlist entry criteria (Section 24).

19. Delegated Credit Authority

Credit authority is granted personally, in writing, by the Chief Credit Officer, sized to the holder's experience and track record, and measured against the obligor's Total Connected Exposure after the proposed facility — not the size of the new request. Authorities are reviewed annually and suspended automatically if the holder's approvals show a default rate more than 50% above the expected rate for their grade mix.

19.1 Authority matrix *(illustrative, maximum TCE)*

Level	Holder	Line	Grades 1–5	Grade 6	Grade 7	Grade 8	Grades 9–10
L0	Decision engine	Automated	£100k	Refer	Refer	Decline	Decline
L1	Relationship	1LoD	£50k	£25k	Nil	Nil	Nil

Level	Holder	Line	Grades 1–5	Grade 6	Grade 7	Grade 8	Grades 9–10
	Manager (credit-accredited)						
L2	Business / Commercial Manager	1LoD	£250k	£150k	£50k	Nil	Nil
L3	Credit Analyst	2LoD	£500k	£350k	£150k	Nil	Nil
L4	Credit Manager	2LoD	£2m	£1.5m	£750k	£250k (remedial)	Nil
L5	Senior Credit Manager	2LoD	£5m	£4m	£2m	£1m (remedial)	£250k (BSU, remedial)
L6	Regional Credit Committee	2LoD chaired	£15m	£12m	£6m	£3m	£1m
L7	Central Credit Committee	2LoD chaired	£50m	£50m	£25m	£10m	£5m
L8	Executive Credit Committee	CRO chaired	Above L7 and all exposures referred by L7				

Mandatory escalations regardless of amount

Situation	Minimum approver
Restricted sector	One level above the matrix
Policy Exception (Section 34)	One level above the matrix; L5 minimum
Credit Override of > 1 grade	L5

Situation	Minimum approver
Lending to a PEP, a Northbridge employee or director, or their connected businesses	L7, with Conflicts Office notification
New money to grades 8–10 > £250k	L7
Breach of a portfolio limit at Amber	L7; at Red, GCRC
Development finance > £2m	L6
Acquisition finance with leverage > 2.75x	L7

19.2 Individual and joint authority

- **Individual authority** applies at L1–L3, and only for applications originated by someone else, except L1 engine-referred cases within L1 limits.
- **Joint authority** applies from L4: the Credit approver plus the recommending RM's line manager (L2+) must both sign. Credit may approve alone; 1LoD may not.
- **Sanctioning without origination.** No person may approve a facility they originated, structured or negotiated, at any level.

19.3 Override authority

A higher authority may approve what a lower one declined, but must record why the earlier decision was wrong. Requests to re-submit a declined application to a different approver at the same level ("authority shopping") are prohibited and must be reported to Credit Risk Policy.

19.4 Conflicts of interest

Authority holders must declare and recuse themselves from any decision involving: their own or a relative's financial interest; a former employer within 2 years; a customer where they hold a personal relationship; or where their remuneration depends directly on the decision. Recusals are recorded in the credit file.

19.5 Independent credit challenge

Above L2, every application must be reviewed by a Second Line credit professional who did not originate it. Challenge must be evidenced in writing: the credit file must show the questions raised and how they were resolved. An approval memo that records no challenge on an application above £1m is a quality-assurance failure.

20. Credit Approval Process

Every manually underwritten application follows the same 16 steps, each with a named owner, a recorded output and a system control that stops the next step until the previous one is complete. Target end-to-end time for a complete Medium-segment application is 15 working days *(illustrative)*.

#	Step	Owner	Output	Control / gate
1	Application	RM	Application record: purpose, amount, product, structure requested	Purpose and product validated against Section 5
2	Data collection	RM	Section 8 information pack; Open Banking consent	Completeness checklist must be 100% before step 4
3	KYC	KYC Ops / Financial Crime	Customer Risk Rating; sanctions/PEP/adverse media clear	Hard stop: no credit work beyond step 5 without clear KYC
4	Financial spreading	Spreading team / Credit Analyst	Spread financials; normalisation schedule	Second-person check for TCE > £1m; reconciliation to filed accounts
5	Credit bureau	Engine	Commercial and consumer bureau results; charges register	Automatic eligibility rules (Section 6.1)
6	Risk scoring	Engine / Credit	Model grade; proposed final grade	Grade locked once approved; overrides logged
7	Cash-flow assessment	RM, checked by Credit	CFADS, DSCR (historical and bank case), debt capacity	Section 10 thresholds evaluated automatically
8	Security assessment	RM / Credit	Security schedule with MV, lending value, cover	Valuation age and panel checks
9	Stress testing	Credit	Mild / moderate / severe results; runway	Section 14 pass criteria evaluated
10	Credit recommendation	RM	Credit application (Section 42	Mandatory fields enforced

#	Step	Owner	Output	Control / gate
			template) with recommendation and conditions	
11	Independent challenge	Credit Analyst / Manager	Written challenge log and responses	Required above L2
12	Approval	Authority holder(s) per Section 19	Decision: approve / approve with amendments / decline; conditions; review date	System checks authority level vs TCE, grade and exceptions
13	Documentation	Legal Operations	Facility letter, security documents, ILA certificates	Documents match approved terms; variances re-approved
14	Conditions precedent	Credit Operations	CP checklist signed off	Drawdown blocked until all CPs ticked by someone other than the RM
15	Drawdown	Credit Operations	Funds released to stated purpose (direct to supplier/vendor where possible)	Limit loaded only after CP sign-off; charge registration confirmed within 21 days
16	Post-drawdown monitoring	RM	Monitoring plan live; covenants loaded; first review date set	Conditions subsequent tracked with automated reminders

Decision outcomes. Approvers must choose one of: Approve as recommended; Approve with amendments (stating the changes); Decline (with reasons recorded and communicated to the customer); or Return for further information (application paused, maximum 30 days). “Approval in principle” is not a recognised outcome.

Declines and customer communication. Declined customers must be told the main reasons where lawful, and SMEs declined for finance must be offered referral to designated finance platforms where the bank is required to do so under applicable SME finance referral rules.

Validity. Approvals are valid for 90 days to drawdown. After that, the application must be refreshed with current information and re-approved at the same level.

21. Automated Credit Decisioning

The SME Decision Engine may approve or decline only simple, low-value applications (TCE ≤ £100k, standard products, no exceptions) where models are proven to be accurate; everything else is referred to a human. Automation is used for consistency and speed, never to remove credit judgement from complex, novel or high-impact decisions.

21.1 Engine architecture

Component	Function
Data orchestration	Pulls Companies House profile, filings and charges; commercial and consumer bureau; Northbridge account conduct; Open Banking transactions (with consent); fraud and sanctions screening results
Fraud checks	Identity, device, synthetic-business and document-tampering checks; any fraud flag stops automated approval
Rules engine	Applies hard policy rules (eligibility, prohibited sectors, CCJs, KYC status, maximum limits). Rules are version-controlled and every rule change requires Credit Risk Policy sign-off and regression testing
Scorecard	Micro Behavioural Scorecard or SME Application Scorecard produces score, PD and grade
Affordability module	Calculates debt service capacity from Open Banking / account data: average monthly net operating inflow less existing commitments
Decision logic	Combines rules, score and affordability into Approve / Decline / Refer; sets limit, price and conditions
Audit log	Stores every input, rule result, score, model version and decision for 7 years

21.2 Decision outcomes

Outcome	Conditions (all must apply)
Auto-approve	TCE ≤ £100k after the facility; score ≥ 652 (grades 1–5); no hard rule failed; no fraud flag; affordability: proposed monthly debt service ≤ 25% of average monthly net operating inflow; trading ≥ 24 months; KYC Low or Medium
Auto-decline	Any hard rule failed (e.g. Prohibited sector, unsatisfied CCJ > £5k, insolvency of principal, KYC not clear) **or** score < 571 (grades 8–10)
Refer to credit	Score 571–651; TCE > £100k; Restricted sector; affordability ratio 25%–40%; data conflicts (turnover per accounts vs bank inflows differs > 20%); thin file
Refer — policy exception	The customer requests terms outside policy (tenor, amount, security waiver), or a rule failure is potentially explainable (e.g. a CCJ since satisfied)

Auto-declined applicants may request a manual review; reviews are performed by a Credit Analyst who did not see the original application, and the outcome is recorded against the rule or score that drove the decline.

21.3 Data sources and controls

- **Open Banking:** used for income verification and affordability with explicit customer consent; consent and data retention follow the bank's data protection standards. Inflows from connected accounts, loans and transfers between own accounts are excluded from operating income.
- **Companies House:** filed accounts may be abridged; the engine must not infer profitability from a balance-sheet-only filing.
- **Bureau data:** used only for permitted purposes; consumer bureau searches on principals require consent.

21.4 Human oversight

Automation removes judgement from decisions where judgement adds little; it must not remove it where judgement matters. Accordingly:

- The engine's performance is reviewed monthly by Portfolio Credit Risk (approval rates, default rates by cohort, override rates, referral rates) and quarterly by the Model Risk Committee.
- A random 2% of auto-approvals and 2% of auto-declines are reviewed manually each month to test whether a credit officer would have reached the same decision.
- Any new data source, rule or model change is tested in champion/challenger or shadow mode before go-live.

- Decisions must be explainable: the engine records the top reasons for each outcome so that the customer can be given reasons and colleagues can understand the decision.
- Automated decisions must be monitored for unjustified differences in outcomes across customer groups, and for consistency with Consumer Duty outcomes for customers within its scope.

Why automation must not replace judgement entirely. Models are trained on past behaviour and cannot see a new risk; they cannot assess the credibility of a forecast or a management team; and they can amplify data errors at scale. Referral thresholds keep humans in the loop exactly where those limitations bite.

22. Account and Covenant Monitoring

The RM owns monitoring of each obligor; Credit owns the quality of that monitoring. Monitoring intensity rises with grade and exposure, and every obligor must have a live monitoring plan from drawdown.

22.1 Monitoring frequency

Obligor profile	Full credit review	Interim review	MI received	Covenant tests
Micro, grades 1–6	Automated behavioural review monthly; manual only on trigger	—	Account data	None
Small / Medium, grades 1–5	Annual	—	Annual accounts; quarterly MI if TCE > £1m	Semi-annual / annual
Small / Medium, grade 6	Annual	Semi-annual desk review	Quarterly MI	Quarterly
Any segment, grade 7	Semi-annual	Quarterly desk review	Monthly MI if TCE > £500k	Quarterly
Grade 8, Watchlist Amber	Quarterly	Monthly	Monthly MI	Quarterly + monthly MI review
Grades 9–10, Watchlist Red	Monthly (BSU)	Weekly cash review if needed	Monthly MI; 13-week cash-flow forecast	Monthly

22.2 Annual review content

The annual review must re-perform the core credit assessment on current data: updated spreading and normalisation; refreshed grade; DSCR and leverage vs covenants and vs approval case; security revaluation where due; KYC refresh status; EWI history for the year; conditions subsequent status; and a

confirmed recommendation to continue, amend, reduce or exit. Reviews more than 30 days overdue are reported in MI; more than 90 days overdue, the obligor's undrawn limits are frozen pending review.

22.3 Continuous account monitoring

Automated monitoring runs daily on account data for all obligors: limit excesses, returned items, missed loan payments, overdraft hardcore, sharp changes in credit turnover, and unusual transaction patterns (shared with Fraud and Financial Crime monitoring). Alerts route to the RM's work queue with a 5-working-day response SLA for Amber alerts and 2 days for Red.

22.4 Covenant monitoring

- Covenants are recorded in the covenant-monitoring system at drawdown with test dates, definitions and thresholds.
- Compliance certificates are due within 45 days of each test date. A missing certificate is itself a technical breach.
- Credit Operations independently recalculates each financial covenant from the MI provided for TCE > £5m, and on a 10% sample below that.
- Headroom below 10% on any financial covenant is an Amber EWI even before breach.

22.5 Conditions subsequent

Conditions subsequent (for example, a key-person insurance policy within 60 days) are tracked to completion. Any CS outstanding more than 30 days beyond its due date is escalated to the approving authority, who decides whether to waive (as an exception) or to restrict further drawings.

23. Early Warning Indicators

The Early Warning System (EWS) scores each obligor daily against the indicators below; any single Red indicator, or three or more Amber indicators within 90 days, triggers a mandatory Watchlist assessment. EWIs are signals for investigation, not automatic conclusions — but every Red signal must be investigated and closed with a recorded outcome.

23.1 Indicator thresholds *(illustrative)*

Financial indicators (from MI, accounts, covenant tests)

Indicator	Green	Amber	Red
Revenue decline (LTM vs prior LTM)	< 5%	5%–15%	> 15%
EBITDA margin change	Within −1pp	−1pp to −3pp	Worse than −3pp
Operating cash flow	Positive	Negative in one quarter	Negative LTM
Net debt / EBITDA vs approval case	Within +0.5x	+0.5x to +1.0x	> +1.0x, or above 3.5x
Current ratio	> 1.1x	0.9x–1.1x	< 0.9x

Indicator	Green	Amber	Red
Covenant headroom	> 20%	10%–20%	< 10% or breach
Accounts / MI timeliness	On time	< 30 days late	> 30 days late, or accounts filed late at Companies House

Banking behaviour (from account data)

Indicator	Green	Amber	Red
Overdraft utilisation (90-day average)	< 75%	75%–90%	> 90%, or hardcore for 6 months
Limit excess	None	1–5 days in 30	> 5 days in 30, or any excess > 10% of limit
Returned payments / direct debits	None	1 in 90 days	≥ 2 in 90 days
Missed loan repayments	None	1–14 days late	> 14 days late, or 2 late in 6 months
Unpaid fees or charges	None	Unpaid > 30 days	Unpaid > 60 days
Credit turnover through account	Stable	Down 15%–30% vs prior 6 months	Down > 30%

External indicators (from Companies House, bureau, Gazette and media monitoring)

Indicator	Amber	Red
County Court Judgments	Any CCJ < £5k	CCJ ≥ £5k or any unsatisfied after 30 days
New charges registered	New charge to another lender	New charge without the consent required by negative pledge
Director / officer changes	Resignation of a director	Resignation of finance director or majority owner; unexplained change of PSC
Late filings	Accounts or confirmation statement overdue	Overdue > 3 months; strike-off notice
Insolvency notices	—	Winding-up petition, administration notice, or

Indicator	Amber	Red
		insolvency of a key customer or connected party
HMRC	Time to Pay arrangement entered	Missed TTP payment; HMRC petition
Adverse media	Negative operational news	Fraud, regulatory sanction, major litigation, loss of licence
Bureau score	Drop > 20%	Drop > 40%, or into bureau's highest-risk band

Behavioural indicators (shared with Fraud and Financial Crime monitoring)

Indicator	Amber	Red
Sudden increase in borrowing requests	Request for limit increase > 50% within 6 months of last review	Repeated urgent requests with unclear purpose
Rapid movement of balances	Unusual transfers to connected accounts	Large outflows to directors or connected parties before or during stress
Cash withdrawals	Cash withdrawals up > 50% vs norm	Sustained high cash withdrawals inconsistent with business model
Unusual transactions	New overseas payees	Payments to high-risk jurisdictions or matches with known fraud typologies

23.2 Who acts, how fast

Status	Identified by	Action	Timescale	Owner
Amber (single)	EWS alert to RM queue	Contact customer; obtain explanation; record outcome	5 working days	RM
Amber (≥ 3 in 90 days)	EWS / Credit	Watchlist assessment; grade review	10 working days	RM; Credit Manager confirms
Red (any)	EWS alert to RM and Credit	Watchlist assessment; grade review; consider	5 working days (2 for fraud-related)	RM and Credit Manager jointly

Status	Identified by	Action	Timescale	Owner
		freezing undrawn limits; BSU consultation		
Red not closed in 10 days	Credit Risk MI	Escalation to Senior Credit Manager	Immediate	Senior Credit Manager

An RM may close an EWI as a “false positive” only with a recorded explanation; closures are sampled monthly by Credit Quality Assurance.

24. Watchlist

The Watchlist is the formal list of performing obligors showing deterioration that needs closer management. Its purpose is to act while options remain, so entry should be early and frequent; a Watchlist that only contains obligors about to default has failed.

24.1 Categories

Category	Meaning	Typical grade	IFRS 9 stage	Management
Watch — Monitor (Amber)	Deterioration identified; repayment not yet in doubt	6–8	Stage 2 (SICR)	RM with enhanced monitoring; Credit Manager oversight
Watch — Active (Red)	Material deterioration; repayment at risk without intervention	8–10	Stage 2 (Stage 3 if unlikely to pay)	Transfer to Business Support Unit (BSU)
Exit / Recovery	Default or exit strategy agreed	D or 9–10	Stage 3	BRU or BSU managed exit

24.2 Entry criteria (any one)

- Any Red EWI not resolved within 10 working days, or ≥ 3 Amber EWIs within 90 days.
- Material financial covenant breach, or two consecutive minor breaches.
- Downgrade by ≥ 2 grades in 12 months, or to grade 8 or worse.
- Forbearance granted (automatic entry for at least the probation period).
- Loss of a customer, contract or licence representing > 20% of revenue.
- Any payment 30+ days past due.
- Credit judgement that the obligor’s ability to repay has materially weakened, even without a trigger.

The RM, Credit Manager or Portfolio Credit Risk may propose entry; Credit confirms. 1LoD cannot veto an entry proposed by 2LoD.

24.3 Requirements while on the Watchlist

Requirement	Amber	Red
Review frequency	Monthly RM update; quarterly Credit review	Monthly BSU case review; Watchlist Committee monthly
Information	Monthly management accounts	Monthly MI plus 13-week rolling cash-flow forecast
Action plan	Written plan within 15 working days: causes, management actions, bank actions, milestones	Written strategy within 10 working days of BSU transfer: support / restructure / exit, with options appraisal
Credit actions	No new money without Credit Manager approval; undrawn limits reviewed	No new money except remedial lending under Section 26; undrawn limits frozen unless BSU approves; security review and revaluation; consider Independent Business Review
RM actions	Customer meetings at least monthly; validate MI against bank data	Support BSU; maintain relationship continuity
Grade	Reviewed at each update	Reviewed at each update

24.4 Exit criteria

An obligor leaves the Watchlist only when all of the following hold for at least two consecutive quarterly reviews: no Red EWIs; covenants met with ≥ 15% headroom; grade improved to ≤ 7 (≤ 6 for exit from Red to normal management); and any forbearance probation completed (Section 26). Exit is approved by the Credit Manager (Amber) or BSU Head (Red).

24.5 Watchlist governance

A Watchlist Committee chaired by the Head of Credit (per region) meets monthly to review all Red cases and a sample of Amber cases, and to challenge cases on the Watchlist for more than 12 months without a change in strategy.

25. Definition of Default

An SME obligor is in default when it is more than 90 days past due on a material credit obligation, or when Northbridge considers it unlikely to pay in full without recourse to security. One definition is used

for credit risk management, regulatory capital and IFRS 9 Stage 3, as set out in the Group Definition of Default Standard, which aligns with the prudential definition of default applicable to IRB banks.

25.1 Past-due criterion

- **90 days past due** on any material amount owed to Northbridge.
- **Materiality threshold** *(illustrative)*: an amount past due exceeding both an absolute threshold of £400 and 1% of the obligor's total on-balance-sheet exposure. The days-past-due counter starts when both thresholds are breached.
- For overdrafts, days past due begin when the customer exceeds an advised limit, or when a demand or limit reduction is not met.

25.2 Unlikeliness-to-pay (UTP) criteria

The obligor must be classified as defaulted when any of the following occurs, regardless of days past due:

UTP trigger	Notes
Bankruptcy / sequestration of a sole trader or partner	Automatic
Administration, liquidation, receivership, CVA, or Part 26A restructuring plan	Automatic on appointment or approval
Winding-up petition not dismissed within 30 days	Assessed; default unless evidently vexatious
Distressed restructuring	A forbearance measure that reduces the present value of the obligation by > 1% (diminished financial obligation)
Specific credit-risk adjustment	Stage 3 individual provision raised
Sale of the credit obligation at a material credit-related loss	≥ 5% loss on sale *(illustrative)*
Bank demands repayment / enforces security	Automatic
Fraud by the obligor that impairs repayment	Automatic
Other UTP indicators (credit judgement)	e.g. loss of main customer with no replacement and no realistic refinancing; Credit must document the assessment

25.3 Contagion

When one obligor in a connected group defaults, all other obligors in the group must be assessed for UTP within 10 working days. Joint borrowers and guarantors are assessed for contagion as set out in the Definition of Default Standard.

25.4 Cure and probation

Situation	Minimum probation before return to non-default
Standard default (past due or UTP), no forbearance	3 months of no default triggers, all arrears cleared, and credit judgement that repayment is likely
Distressed restructuring	12 months from the later of restructure date and end of any grace period, with regular payments made and no past due > 30 days

25.5 Distinguishing related states

State	Meaning	Is the obligor in default?	Typical treatment
Arrears	Any payment past due (1+ days)	No, unless > 90 days and material	RM contact; EWI
Financial difficulty	The obligor is experiencing or about to experience difficulty meeting its commitments	Not necessarily	Forbearance assessment (Section 26); Watchlist
Watchlist	Bank-internal management status for deterioration	No (performing)	Section 24; usually Stage 2
Forbearance	Concession granted to a borrower in financial difficulty	Only if distressed restructuring or other UTP	Forborne flag; Watchlist; probation
Default	90 DPD material or UTP	Yes	Grade D; Stage 3; BRU or BSU
Impaired (credit-impaired)	IFRS 9 Stage 3: evidence of credit impairment	Yes — Northbridge aligns Stage 3 with default	Lifetime ECL on a credit-impaired basis

26. Forbearance and Remediation

Forbearance is any concession granted to an obligor because it is in, or about to be in, financial difficulty. It must only be granted where the business is viable — able to return to sustainable debt service within a reasonable period — because forbearance to a non-viable business delays the inevitable, erodes recoveries and harms the customer.

26.1 Forbearance measures

Measure	Typical use	Max duration / limit *(illustrative)*	Viability evidence required
Temporary overdraft increase	Short-term liquidity gap with clear source of repayment	3 months; ≤ 25% of existing limit	13-week cash-flow forecast
Payment holiday (capital and interest)	Temporary shock (e.g. flood, key-customer delay)	3 months; once per 24 months	Evidence shock is temporary; interest capitalised
Interest-only period	Cash flow can cover interest but not principal	12 months	Forecast showing return to full DSCR ≥ 1.10x
Term extension	Repayments too high relative to sustainable cash flow	Within asset life; max +3 years	DSCR ≥ 1.10x on extended profile
Rescheduling (new amortisation)	Permanent fall in cash flow	Within remaining asset life	Bank-case DSCR ≥ 1.10x
Refinancing	Consolidating facilities into a sustainable structure	—	Full credit assessment
Covenant waiver or reset	Covenant breach where business remains viable	Time-limited	Revised forecast; reset with ≥ 15% headroom
Debt restructuring (write-down, debt-for-equity)	Unsustainable debt in a viable business	Case by case	Independent Business Review; L7 approval
Asset sale	Reducing debt using non-core assets	Agreed timetable	Valuation; sale plan
Equity injection	Owners or investors recapitalise	—	Source of funds verified

26.2 Viability assessment

Before granting any forbearance beyond a 3-month payment holiday, the RM (or BSU for Red cases) must document:

1. **Cause.** Is the difficulty temporary (an event) or structural (the business model no longer works)?
2. **Cash-flow recovery.** An integrated forecast showing DSCR ≥ 1.10x within 24 months on the bank case.

3. **Management.** Credible management with a realistic turnaround plan; where doubt exists, an Independent Business Review (IBR) at the customer's cost, from a firm on the bank's panel, with the customer involved in the choice.
4. **Options comparison.** Estimated recovery from forbearance vs immediate enforcement, on a present-value basis. Forbearance is pursued where it offers equal or better expected recovery and fair customer outcomes.
5. **Owner contribution.** What the owners will contribute (equity, deferred dividends, personal assets). Forbearance should be shared, not borne by the bank alone.

26.3 Approval and classification

- Forbearance is approved at the authority level for the obligor's TCE and current grade; any write-down requires L7.
- All forborne exposures carry a forbearance flag, enter or stay on the Watchlist, and are assessed for UTP (Section 25). Concessions reducing PV by > 1% are distressed restructurings and trigger default.
- The forbearance flag remains for a minimum 24-month probation (performing forborne) after which it may be removed if no past due > 30 days and regular payments have been made.
- Repeated forbearance (a second concession within 24 months) automatically triggers BSU referral and IFRS 9 Stage 3 assessment.

26.4 Fair treatment in forbearance

Customers in difficulty must be treated fairly: clear communication of options and consequences; reasonable time to take advice; no fees beyond the bank's reasonable costs; and particular care for vulnerable customers (Section 36). Where the obligor or relationship is within the scope of the FCA's rules or the Standards of Lending Practice for business customers, those requirements must be followed.

27. Recovery

The recovery objective is to maximise the net present value of recoveries while treating the customer and guarantors fairly. The chosen strategy follows a documented comparison of going-concern and break-up outcomes, not a default preference for enforcement.

27.1 Case ownership

Stage	Unit	Entry
Relationship management	RM	Performing and Watchlist Amber
Special asset management	Business Support Unit (BSU)	Watchlist Red; turnaround or restructuring
Recovery	Business Recoveries Unit (BRU)	Default where the strategy is exit, enforcement or insolvency

Transfer to BRU requires a handover pack within 10 working days: facility and security schedule, latest valuations, guarantees, correspondence and strategy options.

27.2 Strategy selection

BRU must prepare a recovery options paper within 30 days of transfer, estimating net recovery under each route and its timing:

Basis	When it drives the strategy	Typical route
Enterprise value (going concern)	Business remains cash-generative; value exceeds break-up value	Consensual restructuring; pre-pack or business sale through administration; refinance by another lender
Liquidation value	Business not viable; assets worth more than continued trading	Administration or liquidation; asset realisation
Security value	Strong fixed-charge security (e.g. property)	Receivership (LPA receiver) over property; consensual sale
Personal guarantee	Shortfall after security; guarantor has means	Negotiated settlement; demand and, as a last resort, enforcement with fair-treatment safeguards
Cash flow	Business can service reduced debt over time	Consensual repayment plan; partial write-down

```
\text{Net recovery (NPV)} = \sum_t \frac{\text{Recoveries}_t - \text{Costs}_t}{(1 + r)^t}
```

The discount rate r is the facility's effective interest rate, consistent with LGD estimation.

27.3 Enforcement and insolvency

- Formal demand and enforcement require BRU Head approval (L6 equivalent if exposure > £5m).
- Appointment of administrators or receivers must use firms on the bank's insolvency-practitioner panel, with conflicts checked.
- Personal guarantees are called only after the guarantor has been given notice, a copy of the guarantee, the amount claimed and a reasonable opportunity to make proposals. Bankruptcy proceedings against a guarantor require Head of BRU approval and a documented assessment of the guarantor's circumstances and vulnerability.
- Asset realisation must follow independent marketing advice and achieve best price reasonably obtainable.

27.4 Debt sale and write-off

- **Debt sale:** permitted for portfolios of defaulted SME debt where the expected price exceeds the NPV of internal recovery. Purchasers must meet the bank's conduct standards. Approval by the Chief Credit Officer.

- **Write-off:** the amount is written off when there is no realistic prospect of further recovery, and in any case within 6 months of the final security realisation. Write-off authority mirrors credit authority by amount. Recoveries after write-off are tracked and credited to the impairment line.

27.5 Recovery MI

BRU reports monthly: cases and exposure by stage; recovery rate vs LGD model; time to recovery; costs; and PG recoveries. Persistent shortfalls between realised and modelled LGD (> 10 percentage points over 12 months) trigger an LGD model review.

28. IFRS 9 Expected Credit Loss

IFRS 9 impairment is an accounting measurement owned by Finance under the Group IFRS 9 Impairment Standard; this policy supplies its credit inputs (grades, Watchlist, forbearance and default status). Underwriting decides whether to lend; IFRS 9 measures expected losses on what has been lent. The two must use consistent data, but an ECL charge is never a reason to approve or decline an individual application.

28.1 Staging

Stage	Definition	ECL horizon	Interest recognition
Stage 1	Performing; no significant increase in credit risk (SICR) since origination	12-month ECL	On gross carrying amount
Stage 2	SICR since origination, not credit-impaired	Lifetime ECL	On gross carrying amount
Stage 3	Credit-impaired (aligned with default, Section 25)	Lifetime ECL	On net carrying amount

28.2 SICR criteria *(illustrative)*

An exposure moves to Stage 2 if any of the following apply:

- **Quantitative:** remaining-lifetime PD has increased by ≥ 3x since origination **and** by ≥ 1.0 percentage point in absolute terms (12-month PD used as a proxy where justified).
- **Qualitative:** Watchlist (Amber or Red); forbearance flag (performing forborne); grade 9–10.
- **Backstop:** 30 days past due.

Exposures return to Stage 1 when no criterion has applied for 3 consecutive months (forborne exposures: after their probation).

28.3 ECL measurement

```
\text{ECL} = \sum_{s} w_s \sum_{t=1}^{T} \frac{\text{PD}_{t,s} \times
\text{LGD}_{t,s} \times \text{EAD}_{t,s}}{(1+\text{EIR})^{t}}
```

Input	Treatment
PD	Point-in-time, forward-looking term structure derived from the through-the-cycle PD models, conditioned on macroeconomic scenarios
LGD	Point-in-time, scenario-dependent; collateral values move with the house-price and commercial-property-price paths in each scenario
EAD	Amortisation schedule plus expected drawdown of undrawn revolving limits; behavioural life for revolving facilities (e.g. 3 years for overdrafts)
Discounting	At the effective interest rate (EIR)
Forward-looking information	GDP, unemployment, Bank Rate, CPI, house prices and commercial property prices; sector-specific overlays where justified

28.4 Macroeconomic scenarios and weighting

Scenario	Weight *(illustrative)*	Description
Upside	15%	Faster growth; falling unemployment
Base	50%	Consensus-consistent central forecast
Downside	25%	Mild recession; unemployment +2pp; CRE values −15%
Severe downside	10%	Deep recession; unemployment +4pp; CRE values −30%

Scenarios and weights are proposed by Group Economics, reviewed by the IFRS 9 Impairment Committee and approved by the Board Audit Committee.

28.5 Management overlays

Where models cannot capture a known risk (for example, a sector shock not in the development data), a post-model adjustment may be applied. Each overlay must have: a documented rationale and calculation; an owner; an expiry or release trigger; Impairment Committee approval; and disclosure in Finance reporting. Overlays above £10m are reported to the Board Audit Committee.

28.6 Underwriting vs accounting

Underwriting (this policy)	IFRS 9 impairment
Forward decision: should we lend, how much, on what terms	Measurement of expected losses on existing lending
Through-the-cycle PD for grades and pricing	Point-in-time, scenario-weighted PD
Downturn LGD for capital	Scenario-dependent, unbiased LGD
Owned by Credit Risk	Owned by Finance, with Credit Risk providing inputs
A decision is binary for the obligor	ECL is probability-weighted across scenarios

29. Portfolio Risk Management

Portfolio Credit Risk (2LoD) monitors the SME book as a whole against the limits below, because losses that are small individually can be large when correlated. Limits are set by the Group Credit Risk Committee within Board appetite and reviewed semi-annually.

29.1 Portfolio limits and triggers *(illustrative)*

Dimension	Metric	Amber trigger	Red limit	Escalation at Red
Sector	Largest single sector (excl. owner-occupied property) % of SME exposure	18%	22%	GCRC; new lending in sector paused pending review
Sector	Hospitality / Construction % of SME exposure	5.0% / 4.0%	6.0% / 5.0%	GCRC
Real estate	CRE investment + development % of SME exposure	22%	25%	GCRC; BRC notified
Geography	Any ITL1 region % of SME exposure	22%	25%	GCRC
Risk grade	Grades 8–10 % of performing SME exposure	5%	7%	GCRC; origination cut-offs tightened
PD	Exposure-weighted average 12m PD	1.6%	2.2%	BRC (appetite metric)

Dimension	Metric	Amber trigger	Red limit	Escalation at Red
Single name	Top 20 connected groups % of SME exposure	6%	8%	GCRC
Product	Unsecured lending % of SME exposure	12%	15%	GCRC
Vintage	12-month default rate of any quarterly cohort vs expected	+30%	+60%	GCRC; cohort root-cause review
Default rate	Rolling 12m SME default rate	1.8%	2.4%	BRC
Loss rate	Rolling 12m net write-offs / average loans	0.35%	0.55%	BRC
Stage migration	Stage 1 → 2 migration in quarter (% of Stage 1 exposure)	3%	5%	GCRC
ECL	SME ECL coverage of total exposure	1.2%	1.6%	IFRS 9 Impairment Committee and GCRC
LTV	CRE investment book weighted-average LTV	55%	60%	GCRC
LTV	CRE exposures with LTV > 80% (% of CRE book)	5%	8%	GCRC
Leverage	Cash-flow loans with senior leverage > 3.0x at origination (% of quarterly origination)	8%	12%	GCRC

Dimension	Metric	Amber trigger	Red limit	Escalation at Red
Turnover band	Micro segment % of SME exposure	25%	30%	GCRC

29.2 Monitoring and action

- Portfolio Credit Risk produces the monthly SME Portfolio Report (Section 39) showing each metric against its trigger, with trend and forward view.
- At Amber, the metric owner must present a written analysis and management action within one month (for example, tighter sector cut-offs, a pricing change, or targeted reviews).
- At Red, new lending that increases the breach requires GCRC approval until the metric returns within Amber.
- Limits may be breached passively (for example, through grade migration). Passive breaches follow the same escalation but do not require existing facilities to be reduced.

29.3 Portfolio stress testing

The SME book is stress tested at least annually, and on request for PRA and internal stress exercises, using the bank's macroeconomic scenarios. Outputs include projected default rates, ECL, RWA and capital impact by sector and segment, and feed the setting of sector limits and cut-offs.

30. Sector-Specific Underwriting

Sector Guides tighten the general policy where a sector's risks are specific; they never loosen it. The summaries below are the minimum considerations; the full Sector Guides add benchmark ratios from the bank's peer database.

Sector	Main risks	Key ratios	Key documents	Stress scenario	Security considerations	Warning indicators
Retail	Online shift; rent and rates; discretionary demand; stock obsolescence	Like-for-like sales; gross margin; FCCR (rent-adjusted); stock turn	Lease schedule; store-level P&L; stock ageing	LFL −15%; rent review +10%	Leasehold has little value; stock 50%–80% haircut	Store closures; rising markdowns; supplier credit insurance withdrawn
Hospitality	Energy, labour, consumer demand; licensing;	EBITDA margin; FCCR; wet/dry/rooms mix;	Licence; trading by outlet; energy contracts	Revenue −25%; energy +50%; wages +8%	Trading property valued on trading potential, 40% haircut	Falling covers; HMRC TTP; energy contract

Sector	Main risks	Key ratios	Key documents	Stress scenario	Security considerations	Warning indicators
	high failure rate	RevPAR (hotels)				expiring unhedged
Construction	Fixed-price contracts; retentions; payment-chain insolvency; cost inflation	Order book cover; WIP and retentions vs equity; gross margin per contract	Contract list with margins; WIP schedule; bonding lines	Largest contract cancelled or delayed 6 months	Receivables often disputed; WIP worth little	Margin erosion on live contracts; claims; subcontractor disputes
Manufacturing	Input costs; customer concentration; capex intensity; energy	Gross margin; capacity utilisation; capex / depreciation	Customer contracts; order book; asset register	Loss of top customer; input +20%	P&M: general vs specialist haircuts	Utilisation < 65%; delayed capex; quality failures
Professional services	Key-person; partner exits; PI claims; WIP recovery	Fee per fee-earner; lock-up days (WIP + debtors); partner capital	Partnership deed; PI insurance; regulator status	Loss of top 2 fee-earners; lock-up +20 days	Few tangible assets; partner capital lock-in	Partner departures; regulatory investigations; rising lock-up
Healthcare	Regulatory rating; staffing; public-funding rates; occupancy (care)	Occupancy; staff cost % of revenue; EBITDARM	CQC / regulator reports; contracts with commissioners	Occupancy −8pp; agency staff costs +25%	Care homes: specialist trading property	Regulator rating downgrade; rising agency use
Transport and logistics	Fuel, drivers, utilisation; contract renewal	Fleet utilisation; revenue per vehicle; FCCR	Fleet schedule; operator licence; customer contracts	Fuel +30%; driver wages +10%	Vehicles: 40% haircut; residual risk	Operator licence issues; ageing fleet; lost contracts

Sector	Main risks	Key ratios	Key documents	Stress scenario	Security considerations	Warning indicators
Agriculture	Weather, commodity prices, subsidy transition, disease	Output per hectare; cost per unit; gearing vs land value	Farm business plan; support-scheme correspondence; land titles	Yield −20%; price −15%	Land: low LTV, illiquid; livestock perishable	Disease outbreaks; scheme payment delays; rising rent
Wholesale	Thin margins; working capital; customer credit risk	Gross margin; debtor/stock days; CCC	Aged debtors and stock; credit insurance	Margin −1pp; debtor days +15	Receivables and stock; invoice finance preferred	Credit insurance limits cut; stock build-up
Technology	Revenue durability; churn; capitalised development; cash burn	ARR growth; churn; gross margin; EBITDA (dev costs expensed)	Customer cohort data; contracts; IP ownership	Churn doubled; new bookings −30%	Few tangible assets; IP not lending value	Rising churn; capitalised costs growing faster than revenue
Property	Values, voids, interest rates, refinancing	LTV; ICR; debt yield; WAULT	Valuation; tenancy schedule; leases	Section 32	Section 32	Lease breaks; tenant distress; falling valuations
Recruitment	Thin margins; compliance (IR35, umbrella companies); client concentration	Gross profit per placement; debtor days; PAYE compliance	HMRC compliance evidence; client contracts	Largest client lost; debtor days +20	Invoice finance; PAYE arrears rank ahead	PAYE/VAT arrears; disputed invoices

Sector	Main risks	Key ratios	Key documents	Stress scenario	Security considerations	Warning indicators
Energy	Transition risk; commodity prices; regulation; technology	EBITDA vs commodity price; contracted revenue %	Offtake contracts; licences; transition plan	Price −30%; carbon cost per scenario	Specialist assets; decommissioning liabilities	Licence changes; stranded-asset indicators
Import / export	FX; transit; sanctions; supplier and buyer default	FX exposure % of costs/revenue; trade cycle days	Supplier/buyer contracts; hedging policy; shipping docs	GBP ±15%; shipment delays of 60 days	Goods in transit; credit insurance assignment	Hedging lapses; new high-risk counterparties
E-commerce	Customer acquisition cost; platform dependency; returns; inventory	Contribution margin after marketing; CAC payback; returns rate	Platform reports; cohort data; marketing spend	CAC +30%; returns +5pp	Stock (fashion: 80% haircut)	Marketplace account suspensions; rising CAC

Use of Sector Guides. Where a sector benchmark ratio and the general warning threshold in Section 9 differ, the stricter applies. Credit may not approve a facility that breaches a Sector Guide mandatory requirement without a Policy Exception.

31. Start-Up Lending

Start-up lending (trading < 24 months) is assessed on the founders, the plan and the liquidity runway, because there is no trading history to measure. Exposure is capped at £250k per connected group unless the loan is under a government guarantee scheme or fully cash-secured.

31.1 Why the established-business scorecard must not be used

The SME Application Scorecard's most predictive variables — historical DSCR, leverage trend, account conduct over 12 months — do not exist for start-ups. Scoring a start-up on missing values places it in neutral or default bins and produces a PD that reflects missing data, not risk. The Start-up Scorecard instead weights the predictors that do exist at launch: founders' personal credit behaviour and sector experience, equity committed, plan quality and sector failure rates.

31.2 Assessment requirements

Area	Requirement
Founder assessment	≥ 3 years' relevant sector or management experience for at least one founder; clean personal credit (no CCJs > £1k in 3 years, no insolvency in 6 years); personal financial position and commitments
Business plan	Clear customer, proposition, pricing and route to market; evidence of demand (orders, letters of intent, pilot sales, pre-lets)
Forecast credibility	24-month monthly integrated forecast; assumptions benchmarked to sector data; break-even month identified. Bank case: revenue −30% and 3-month delay to break-even
Equity contribution	Founders/investors contribute ≥ 30% of total funding requirement (25% for professional practices buying established goodwill), from verified sources
Personal guarantees	Mandatory from all founders with ≥ 25% (subject to scheme rules)
Cash runway	Cash plus committed facilities must cover ≥ 12 months of bank-case cash burn after drawdown
Investor backing	Institutional or angel backing with follow-on capacity strengthens the case; investor term sheets reviewed for preference and redemption rights that rank ahead of the bank
Minimum liquidity covenant	Minimum cash + undrawn facilities equal to 3 months of operating costs, tested monthly
Sector risk	Hospitality and construction start-ups: Restricted, L5 minimum and ≥ 40% equity

31.3 Products and structure

- Preferred: term loans with 6–12-month capital holidays matched to the break-even plan; asset finance for specific equipment.
- Overdrafts limited to £25k in year 1 unless supported by forecasts and cash security.
- No unsecured lending above £50k outside a government guarantee scheme.

31.4 Monitoring

Monthly management accounts against plan for the first 24 months. A variance of more than 25% below plan revenue for two consecutive months is an Amber EWI; three months is Red.

32. Property Lending

Property lending is assessed on the property's income and value, not on a trading business — except owner-occupied property, which is a trading-business loan secured on its premises and is assessed under Section 10. All SME property lending is underwritten or approved by Real Estate Credit.

32.1 Metrics

$$\text{ICR} = \frac{\text{Net rental income}}{\text{Interest at stressed rate}} \qquad \text{Debt yield} = \frac{\text{Net operating income}}{\text{Loan amount}} \qquad \text{LTGDV} = \frac{\text{Total facility}}{\text{Gross development value}}$$

32.2 Policy parameters by type *(illustrative)*

Parameter	Owner-occupied	Investment	Development	Bridging
Max LTV / LTGDV / LTC	70% LTV	65% LTV (60% for retail and leisure)	60% LTGDV; 75% LTC	65% LTV
Primary repayment test	Trading DSCR ≥ 1.25x	ICR ≥ 1.75x at stressed rate (contract rate +200bps, floor 7%)	Sales/refinance exit covering facility at 70% of GDV	Evidenced exit
Debt yield	n/a	≥ 9%	n/a	n/a
Max tenor	25 years	15 years	Build + 6 months (max 36 months)	18 months
Amortisation	Full over ≤ 25 years	To ≤ 50% LTV at maturity	Bullet from sales	Bullet
Tenancy	n/a	WAULT ≥ 3 years to break; no tenant > 50% of rent unless strong covenant	Pre-sales/pre-lets per 32.4	n/a
Vacancy	n/a	Vacancy > 20% → ICR on actual let income only	n/a	n/a

Parameter	Owner-occupied	Investment	Development	Bridging
Rental stress	n/a	Rent −20% at lease expiry / break	n/a	n/a
Valuation	RICS Red Book, panel valuer	RICS Red Book, with reversionary analysis	Day-one value plus GDV; monitoring surveyor	Red Book; 90-day and 180-day values
Equity	30%	35%	≥ 25% of total cost, in first	35%

32.3 Investment property: tenant and income risk

- Tenant covenant is reviewed for any tenant > 20% of rent (accounts, bureau, payment history).
- Lease expiries and breaks within the loan term are modelled with a 9-month void and 6-month rent-free on re-letting.
- Energy Performance Certificate ratings are assessed against minimum energy efficiency standards; properties that cannot legally be let without upgrade require a costed upgrade plan funded within the structure (Section 37).

32.4 Development: planning and construction risk

Risk	Requirement
Planning	Full planning permission granted and judicial-review period expired; no lending on land without planning except at ≤ 50% LTV of existing-use value
Construction	Fixed-price contract with a contractor of Northbridge-approved standing, or a developer with ≥ 3 comparable completed schemes; 5%–10% contingency
Cost overruns	Developer must fund overruns first; cost-to-complete tested before every drawdown by monitoring surveyor
Sales risk	Residential: 30% pre-sales by exchange (or ≤ 50% LTGDV); commercial: pre-let ≥ 50% of space
Exit	Sales prices stressed −10%; build period +6 months; exit must still repay facility plus rolled interest

Risk	Requirement
Drawdown	In arrears against certified works; no drawdown after cost-to-complete shortfall arises

32.5 Bridging

Bridging is permitted only where the exit is evidenced at approval (sale in progress with agent instructions, or a refinance term sheet), the borrower is experienced, and the 180-day value covers the facility plus interest. Bridging may not be used to delay recognition of a failing development or to refinance another lender's defaulted loan.

33. Group and Connected Borrower Analysis

Obligors that are connected must be treated as a single risk: exposure is aggregated into one Total Connected Exposure, assessed on a consolidated basis, and approved at the authority level for the combined amount. A connection exists through control or through economic dependency, and Credit decides connection where it is unclear.

33.1 Connection tests

Indicator	Connected if	Notes
Common ownership	One party controls the other, or both are controlled by the same person(s) (> 50% shares or votes, or power to appoint the board)	Includes family members acting together
Common directors	Same individuals direct both entities **and** jointly make key financial decisions	Common directors alone are an indicator, not proof
Cross-guarantees	Entities guarantee each other's debts	Always connected
Intercompany loans	Material loans (> 10% of either party's total assets) between entities	Assess recoverability and subordination
Shared cash	Pooled cash management or routine transfers to meet obligations	Strong indicator of economic dependency
Shared assets	One entity uses assets owned by another (e.g. trading company in a property owned by a sister company)	Connected; rental income may depend on the trading company

Indicator	Connected if	Notes
Shared liabilities	Common suppliers on joint terms, shared pension scheme, shared tax group liabilities	Assess contagion
Economic dependency	Failure of one would likely cause repayment difficulty for the other (e.g. > 50% of revenue from the other)	Connected even without ownership links

33.2 Exposure aggregation

```
\text{TCE}_{\text{group}} = \sum_{\text{entities}} \max(\text{Limit}, \text{Outstanding}) + \text{Contingents at CCF} + \text{Pre-settlement exposure on derivatives}
```

- Facilities to directors personally that are used for, or repaid from, the business are included.
- Exposure secured on a group entity's assets but lent to a third party is included in that group.
- TCE is recalculated automatically in the connections system whenever any facility in the group changes.

33.3 Group analysis requirements

- Consolidated financials (or an aggregation prepared by Credit with intercompany eliminations) plus entity-level accounts for each borrowing and guaranteeing entity.
- A structure chart showing ownership, the location of debt, cash and key assets, and any minority interests.
- Assessment of structural subordination: debt in a holding company is serviced only from upstreamed dividends, which may be restricted. Lending to a holding company requires cross-guarantees and debentures from material subsidiaries (≥ 80% of group EBITDA and assets).
- Intercompany loans owed to a borrowing entity are not counted as current assets unless the debtor entity can evidently repay them.
- Cross-guarantees must have documented corporate benefit for each guarantor.

33.4 Grading groups

The group is graded on consolidated performance. An individual entity may be graded better than the group only where it is ring-fenced (no cross-guarantees, independent cash and creditors) and Credit documents why group failure would not impair it.

33.5 Director and owner analysis

In owner-managed SMEs the business and its owners are financially intertwined, so the owners' position is part of the credit risk. Personal financial information is relevant and must be obtained where: a PG is taken; the obligor is a sole trader or partnership; owners have director loan accounts > £50k (either direction); owners have other businesses banked elsewhere; or the business depends on owner funding.

Area	What to assess	Source
Personal credit history	CCJs, defaults, insolvency, arrears on personal borrowing	Consumer bureau (with consent)
Existing guarantees	Guarantees given to other lenders or for other businesses	Statement of affairs; bureau; Companies House charges
Personal indebtedness	Mortgage, personal loans, credit cards vs income	Statement of affairs; bureau
Director loans	Amounts owed to or by the company; repayment expectations	Accounts notes; management accounts
Wealth	Net worth excluding main residence; liquidity of assets	Verified statement of affairs
Experience and track record	Years in sector; previous businesses and their outcomes	CV; Companies House history of directorships
Other businesses	Connections (Section 33.1); any failures, dissolutions or insolvencies	Companies House; bureau
Conflicts of interest	Related-party trading, competing businesses, personal use of company assets	Accounts; interview; transaction review

A director with two or more previous companies that entered insolvency within 6 years is an Amber factor requiring explanation; where creditors suffered material loss, Senior Credit Manager approval is required.

34. Policy Exceptions and Breaches

Exceptions let Northbridge make sound decisions that the rules did not anticipate; they must be rare, justified, approved above normal authority, time-limited and reported. Exceptions above 8% of approvals by value in a quarter breach Amber appetite (Section 2.2).

34.1 Types

Type	Definition	Example
Policy Exception	Approval of a transaction that does not meet a mandatory (“must”) requirement	Historical DSCR 1.15x where policy requires 1.25x
Credit Override	Final grade or decision differs from the model or engine	Model grade 8 upgraded to 6 for documented reasons

Type	Definition	Example
	output beyond permitted adjustment	
Temporary Waiver	Time-limited relief from a requirement already in place for an existing facility	Annual accounts deadline extended by 60 days
Delegated Authority Breach	A decision taken without sufficient authority, or a facility drawn before approval or CPs	RM allowing drawdown before charge registration

Policy Exceptions and Overrides are legitimate decisions taken within a control framework. A Delegated Authority Breach is a control failure, not an exception.

34.2 Approval and documentation

Requirement	Policy Exception	Credit Override	Temporary Waiver
Minimum approver	One level above matrix; L5 minimum	L5 (> 1 grade); L4 (1 grade, low-side)	Original approver's level
Documentation	The rule breached; magnitude; why the risk is acceptable; compensating factors; mitigants	Model output; final grade; reason code; evidence	Rule; reason; expiry date
Expiry	Reviewed at next annual review; must be removed, re-approved or remedied	Re-tested at each grade review	Must state expiry; max 6 months
Monitoring	Exception register; flagged on facility	Override register	Waiver register
Reporting	Monthly to Credit Risk Policy; quarterly to GCRC	Monthly to Model Risk	Quarterly

34.3 Prohibited exceptions

No exception may be approved for: Prohibited sectors; incomplete or unclear KYC; sanctions concerns; lending where the approver originated the deal; lending with no identified repayment source; or breaches of law or regulation.

34.4 Policy breaches

Severity	Definition	Response	Timescale
Minor	Process breach with no credit or customer impact (e.g. late file note)	Recorded; corrected; coaching	Corrected within 10 days
Moderate	Breach creating credit risk or regulatory exposure without loss (e.g. drawdown before a CP met)	Recorded in breach log; remediation plan; reported to Head of Credit	Reported within 5 working days
Severe	Breach causing loss, customer harm, regulatory breach, or repeated moderate breaches	Incident raised under Operational Risk framework; CCO notified; HR process considered; authority suspension	Reported within 24 hours

Authority holders responsible for two moderate breaches or one severe breach in 12 months have their authority reviewed and may have it reduced or suspended.

34.5 Portfolio reporting

The quarterly Exceptions Report to GCRC shows: count and value of exceptions by type, rule, segment, region and approver; performance of excepted lending vs non-excepted (default rate, Watchlist entry); and rules with recurring exceptions, which may indicate the rule needs review.

35. Model Risk

All credit models used in SME lending — PD, LGD and EAD models, scorecards, IFRS 9 ECL models and decision engines — are governed under the Group Model Risk Policy, which is designed to meet the PRA's model risk management principles for banks. No model may be used for decisions until independently validated and approved.

35.1 Model lifecycle

Stage	Requirement	Owner
Development	Documented data, methodology, assumptions, limitations; development and out-of-time samples	Model Development (1LoD)
Independent validation	Conceptual soundness, data quality, discrimination,	Model Risk Management (2LoD)

Stage	Requirement	Owner
	calibration, stability, implementation testing	
Approval	Model Risk Committee; Tier 1 models (capital PD/LGD, IFRS 9) also by Board Risk Committee delegate	Model Risk Committee
Implementation	Production code reconciled to the approved model; parallel run ≥ 3 months for material changes	Model Development + IT
Monitoring	Monthly/quarterly performance metrics vs thresholds	Model owner; Model Risk oversight
Periodic revalidation	Annually for Tier 1; every 2 years for Tier 2; 3 years Tier 3	Model Risk Management
Decommissioning	Documented replacement or retirement	Model owner

35.2 Model tiering *(illustrative)*

Tier	Examples	Materiality
Tier 1	SME PD models used for capital; LGD and EAD models; IFRS 9 ECL models	Drive capital or financial statements
Tier 2	Decision engine strategies; behavioural scorecards; EWS scoring	Drive individual decisions at scale
Tier 3	Pricing tools; sector risk scores; spreading templates	Support decisions

35.3 Performance monitoring standards

Dimension	Metric	Green	Amber	Red
Discrimination	Gini coefficient (SME Application Scorecard)	≥ 60	50–60	< 50

Dimension	Metric	Green	Amber	Red
Calibration	Observed vs predicted default rate (portfolio)	Within ±20%	±20%–35%	Beyond ±35%
Calibration by grade	Grades failing binomial test at 95%	≤ 1	2–3	≥ 4
Stability	Population Stability Index (score distribution)	< 0.10	0.10–0.25	> 0.25
Stability	Characteristic Stability Index (any input)	< 0.10	0.10–0.25	> 0.25
Back-testing (LGD)	Realised vs predicted LGD	Within 5pp	5–10pp	> 10pp
Override monitoring	High-side override rate	< 5%	5%–8%	> 8%
Override performance	Default rate of overridden cases vs model expectation	Within +25%	+25% to +50%	> +50%

$$\text{PSI} = \sum_{i} (A_i - E_i) \, \ln\!\left(\frac{A_i}{E_i}\right)$$

where A_i and E_i are the actual and expected (development) proportions in score band i.

35.4 Response to model deterioration

- **Amber:** the model owner investigates and reports root cause within 1 month; Model Risk decides on a monitoring increase or recalibration.
- **Red:** a post-model adjustment or conservative overlay must be applied within 1 month, and recalibration or redevelopment scheduled. For decision engines, cut-offs may be tightened immediately by Portfolio Credit Risk.
- Any model whose limitations are unmitigated for more than 12 months is escalated to the Model Risk Committee.

35.5 Decision-engine controls

Rules and strategies in the decision engine are treated as models. Every change requires: documented rationale; impact analysis on a historical sample; Credit Risk Policy approval; regression testing; and a version record so that any historical decision can be re-run exactly.

36. Responsible Lending

Northbridge lends only where the facility is affordable, suitable for its purpose and fairly explained. Most SME lending sits outside FCA-regulated credit, but Northbridge applies fair-treatment standards to all SME customers, and full FCA rules (including the Consumer Duty) where lending is regulated — for example to sole traders and small partnerships within regulated credit limits.

36.1 Standards

Area	Requirement
Affordability	Assessed under Section 10. For sole traders and partnerships, household affordability is included: personal commitments and essential living costs are deducted before business debt service
Suitability	The product fits the purpose (Section 5). Colleagues must not recommend a more expensive or longer product than the purpose requires
Transparency	Facility letters set out total cost, fees, security, guarantees, covenants, events of default and the bank's rights, in plain language with a key facts summary
Avoiding inappropriate lending	Do not lend to fund losses without a credible turnaround; do not lend to repay HMRC or other lenders' arrears outside Section 26; do not increase limits for customers in persistent difficulty without a forbearance assessment
Conflicts of interest	Colleague incentives must not reward lending volume without regard to credit quality and customer outcomes; RMs do not hold approval authority over their own originations (Section 19)
Responsible restructuring	Forbearance follows Section 26, with reasonable time for the customer to take advice

36.2 Customer vulnerability

SME owners and guarantors can be vulnerable through health, life events, low resilience or capability. Colleagues must:

- Recognise indicators of vulnerability (for example, bereavement, serious illness, mental-health difficulty, language barriers) and record them, with consent, in line with the Customer Vulnerability Standard.

- Adapt communication and timelines, and offer support channels, including allowing a trusted third party to act.
- Refer to specialist support teams where needed.
- Never use vulnerability information to the customer's detriment; it informs how the bank treats the customer, not the credit grade.

36.3 Outcome monitoring

Conduct Risk (2LoD) reviews quarterly: complaint themes in SME lending; decline reasons and appeal outcomes; forbearance outcomes; guarantee calls; and outcomes for customers flagged as vulnerable. Adverse trends are reported to the Conduct Risk Committee and GCRC.

37. ESG and Climate Risk

Climate and environmental risks are assessed as credit risks: they change cash flows, collateral values and insurability within the life of many SME loans. Every application above £1m TCE, and every property-secured application, must include a climate assessment; for others, the decision engine screens sector and postcode risk automatically.

37.1 Transmission channels

Risk	How it affects credit	Example
Transition risk	Carbon pricing, regulation, technology and demand shifts raise costs or reduce revenue	Haulier facing low-emission zone charges and fleet replacement before assets are paid off
Physical risk — acute	Floods, storms and heat damage assets and interrupt trading	Food processor's plant flooded, losing 4 months' output
Physical risk — chronic	Gradual changes (heat, water stress, sea level)	Agricultural yields falling; cooling costs rising
Property efficiency	Minimum energy efficiency standards make inefficient buildings unlettable or require capex	Investment property with low EPC requiring £400k upgrade
Insurance	Rising premiums or withdrawn cover affect affordability and collateral value	Flood cover unavailable at renewal
Supply chain	Climate events disrupt suppliers or raise input costs	Imported ingredient prices spike after drought

37.2 Requirements

Area	Requirement
Carbon-intensive sectors	Obligors in sectors flagged High transition risk must provide a transition plan where TCE > £5m; the severe stress includes the Climate Risk Standard transition scenario (carbon costs, demand change)
Energy efficiency	Investment property below the minimum letting standard must have a funded upgrade plan before drawdown or as a CS within 12 months
Flood risk	Property in high flood-risk zones requires: confirmed buildings and business-interruption insurance (including flood); a flood-risk report for TCE > £1m; and a 30% value haircut in the severe stress where insurance relies on time-limited schemes or is unavailable
Insurance	Insurance must be in place and assigned/noted for all charged property; non-renewal is an Amber EWI
Supply chain	Single-source inputs from climate-exposed regions assessed in the business-model review (Section 13.3)
Social and governance	Modern slavery, health and safety, and environmental enforcement history checked through adverse media; serious unresolved issues are a reputational risk referral

37.3 How climate affects the grade and structure

Climate findings enter the decision through existing levers, not a separate score: the external-environment factor in the scorecard; stress-test results; collateral haircuts; tenor (no lending beyond the expected useful life of an asset facing regulatory obsolescence); and covenants or CSs (insurance, EPC upgrade). Climate risk is never a reason to refuse finance for a credible transition plan; Northbridge actively supports transition capex through its standard products.

37.4 Data and MI

Portfolio Credit Risk reports semi-annually: exposure to high transition-risk sectors; property exposure by flood-risk band and EPC rating; financed-emissions estimates where data permits; and climate stress-test results.

38. Fraud Risk

Fraud losses in SME lending concentrate at origination (first-party application fraud) and in asset-backed products (invoice and collateral fraud). Fraud controls run before and alongside credit assessment; a credit officer who suspects fraud must stop, escalate to Fraud Risk and not alert the customer.

38.1 Fraud typologies and controls

Typology	Indicators	Controls
False financial statements	Accounts inconsistent with Companies House filings, bank inflows or tax returns; accountant not traceable	Reconcile accounts to filed versions and bank data; verify accountant's practising status; CT600/VAT checks above £500k
Fake or inflated invoices	Debtors unknown to bureau; unusual concentration; debtor addresses linked to the client	Debtor verification calls; invoice-level audits; payment-trail matching in invoice finance
Synthetic businesses	Recent incorporation; no web or trading footprint; directors linked to many recent companies	Companies House network analysis; trading-footprint checks; Open Banking verification of real trading
Identity fraud	Mismatched identity data; recently created email/phone	Electronic ID&V; document authentication; device intelligence
Account takeover	Changes to contact details followed by payment requests	Step-up authentication; cooling-off on payee changes
Fraudulent directors	Directors with prior insolvencies or disqualifications	Insolvency Service disqualified-directors check; directorship history
Fraudulent collateral	Assets that do not exist, are already charged, or are over-valued	Physical inspection above £250k; charges register; panel valuers only; title checks
Transaction anomalies	Drawdown immediately transferred to unrelated or overseas parties	Pay suppliers directly; post-drawdown transaction monitoring for 90 days

38.2 Interaction with credit underwriting

- Fraud screening is a gate (Section 20, step 3); an unresolved fraud flag stops credit approval.
- Data inconsistencies found during credit analysis are fraud signals, not only credit weaknesses, and must be referred.

- Losses arising from fraud are tagged separately from credit losses so that PD and LGD models are not distorted, and so that fraud controls can be tuned.
- Confirmed first-party fraud results in exit of the relationship, recovery action, and filing with fraud-prevention databases where permitted.

39. Management Information

Senior management receives a monthly SME Credit Risk Pack and a quarterly deep-dive. Every metric has an owner, a definition in the MI Data Dictionary, and a trigger linked to Sections 2 and 29, so the pack shows not just numbers but where action is required.

39.1 Core MI suite

Area	Metric	Frequency	Audience	Owner
Origination	Applications (number, value) by segment, channel, product	Monthly	GCRC; Business heads	Portfolio Credit Risk
Origination	Approval, decline and referral rates (engine and manual)	Monthly	GCRC	Portfolio Credit Risk
Origination	Time to decision; % within SLA	Monthly	Business heads	Credit Operations
Origination	Grade mix of new lending; % in grades 7–10	Monthly	GCRC; BRC (appetite)	Portfolio Credit Risk
Origination	Policy exceptions and overrides (count, value, type)	Monthly / quarterly	GCRC	Credit Risk Policy
Credit quality	Exposure-weighted PD; grade migration matrix	Monthly	GCRC; BRC	Portfolio Credit Risk
Credit quality	Default rate (12m rolling) by segment, sector, vintage	Monthly	GCRC; BRC	Portfolio Credit Risk

Area	Metric	Frequency	Audience	Owner
Credit quality	Stage 1/2/3 balances and migration	Monthly	Impairment Committee; GCRC	Finance / Credit Risk
Credit quality	ECL and coverage by stage, segment, sector	Monthly	Impairment Committee	Finance
Credit quality	Net loss rate; write-offs; recoveries	Monthly	GCRC; BRC	BRU / Portfolio Credit Risk
Credit quality	Watchlist (Amber/Red) number, exposure, inflows, outflows	Monthly	GCRC	Credit
Credit quality	Forbearance stock and flows	Monthly	GCRC; Conduct Risk	Credit
Portfolio	Exposure by sector, region, product, segment, turnover band	Monthly	GCRC	Portfolio Credit Risk
Portfolio	Concentration vs limits (Section 29)	Monthly	GCRC; BRC	Portfolio Credit Risk
Portfolio	Top 20 connected exposures	Monthly	GCRC	Portfolio Credit Risk
Portfolio	CRE LTV distribution; EPC and flood-risk exposure	Quarterly	GCRC	Real Estate Credit
Performance	Net interest income and fees by segment	Monthly	Business heads; GCRC	Finance
Performance	Risk-adjusted return; RAROC by segment and grade vs 14% hurdle	Quarterly	GCRC; ALCO	Finance / Credit Risk

Area	Metric	Frequency	Audience	Owner
Performance	RWA and capital consumption	Monthly	ALCO; GCRC	Finance
Control	Overdue annual reviews; overdue CSs; covenant certificates outstanding	Monthly	Heads of Credit	Credit Operations
Control	Model performance (Gini, PSI, calibration)	Monthly / quarterly	Model Risk Committee	Model Risk
Control	Policy breaches by severity	Monthly	GCRC	Credit Risk Policy

39.2 Standards for MI

- Data sourced from systems of record; manual adjustments logged.
- Each metric shown with prior month, prior year, trend and Green/Amber/Red status vs trigger.
- A one-page summary leads with what changed and what action is needed, not with the data.
- MI critical to risk appetite is subject to data-quality controls consistent with the bank's risk-data aggregation principles.

40. Regulatory and Governance Framework

This policy sits within a Board-to-desk governance chain with clear ownership at each level, and is designed to align with UK prudential, conduct, accounting and financial-crime expectations. It summarises how Northbridge aligns with those frameworks; it does not quote or replace them, and Legal and Compliance remain the authority on regulatory interpretation.

40.1 Governance structure

Body	Chair	Role in SME credit
Board	Chair	Approves Risk Appetite Statement
Board Risk Committee (BRC)	Independent NED	Approves this policy and credit risk appetite; oversees appetite breaches
Board Audit Committee	Independent NED	Oversees IFRS 9 judgements and Internal Audit findings

Body	Chair	Role in SME credit
Group Credit Risk Committee (GCRC)	Chief Risk Officer	Sets portfolio limits; reviews MI, exceptions, Watchlist trends; recommends policy
Executive Credit Committee	Chief Risk Officer	Approves largest and most sensitive exposures (L8)
Central / Regional Credit Committees	Chief Credit Officer / Regional Heads of Credit	Approve exposures at L6–L7 (Section 41)
Model Risk Committee	Chief Model Risk Officer	Approves and oversees credit models
IFRS 9 Impairment Committee	CFO and CRO (joint)	Approves scenarios, weights, overlays, staging criteria
Watchlist Committees	Regional Heads of Credit	Review Watchlist Red and long-standing cases

40.2 Regulatory alignment

Framework	How this policy aligns
PRA prudential regime and UK capital requirements	IRB grading, default definition, PD/LGD/EAD estimation, model governance and use test: models used for capital are also used in credit decisions and pricing
Basel credit-risk principles	Sound credit-granting criteria, independent credit review, limits on concentrations, robust monitoring and early remedial action
IFRS 9	Staging, SICR and default definitions consistent with credit data (Section 28)
FCA conduct rules and Consumer Duty (where applicable)	Responsible lending, fair treatment, vulnerability, transparency (Section 36)
Money Laundering Regulations, sanctions regimes, JMLSG guidance	KYC precedes credit; EDD triggers; SAR obligations (Section 7)
Financial crime and fraud	Fraud gate and typology controls (Section 38)
Operational resilience	Decision engine, covenant-monitoring and collateral systems are mapped as supporting important business services, with impact tolerances and recovery plans

Framework	How this policy aligns
Model risk management	Independent validation, tiering, monitoring and governance (Section 35)
Senior Managers and Certification Regime	The CRO is accountable for the credit risk framework; credit authority holders are certified persons where required
Ring-fencing	SME lending booked in the ring-fenced bank within its permitted activities

40.3 Audit

Group Internal Audit (3LoD) provides independent assurance on SME credit at least every 24 months on a risk-based plan, covering: design and operation of the approval process; adherence to delegated authority; quality of credit files; covenant and Watchlist monitoring; model governance; and IFRS 9 inputs. Credit Quality Assurance (2LoD) separately samples at least 5% of approvals each quarter, rating each file Satisfactory, Needs Improvement or Unsatisfactory. Findings rated High must be remediated within 90 days, with progress reported to GCRC and the Board Audit Committee.

40.4 Regulatory reporting

Credit risk data from SME lending feeds regulatory returns (capital adequacy, credit risk exposures and RWA, large exposures, asset quality including forbearance and non-performing exposures) and statistical returns. Finance owns submission; Credit Risk owns data quality for grade, default, forbearance, collateral and exposure fields, with monthly reconciliation between credit systems and the finance ledger. Material data errors affecting a submitted return are escalated to the CFO and CRO within 2 working days.

40.5 Policy maintenance

Credit Risk Policy owns this document, maintains a requirements traceability log mapping each mandatory requirement to its control, and conducts an annual effectiveness review using exception, breach, audit and QA data.

41. Credit Committee

Credit Committees approve exposures above individual authority (L6 and L7) and are chaired by Second Line credit executives, so that credit decisions are taken independently of the business that originates them. 1LoD members may support or challenge but cannot approve alone.

41.1 Membership and quorum

Element	Regional Credit Committee (L6)	Central Credit Committee (L7)
Chair	Regional Head of Credit (2LoD)	Chief Credit Officer, Commercial (2LoD)

Element	Regional Credit Committee (L6)	Central Credit Committee (L7)
Voting members	Chair; 2 Senior Credit Managers; Regional Commercial Director (1LoD)	Chair; Head of Real Estate Credit; 2 Senior Credit Managers; Managing Director, Commercial Banking (1LoD)
Non-voting attendees	Presenting RM and Credit Manager; BSU representative for Watchlist cases	As L6, plus Portfolio Credit Risk for limit-related cases
Quorum	Chair (or deputy) + 2 voting members, with 2LoD members in the majority	Chair (or deputy) + 3 voting members, with 2LoD in the majority
Frequency	Weekly	Weekly; ad hoc for urgent cases

41.2 Voting and decisions

- Decisions are by consensus where possible; otherwise by majority of voting members present.
- **The Chair has a veto.** Any 2LoD voting member may escalate a decision they consider outside appetite to the next committee level; the facility may not proceed until escalation is resolved.
- Decisions may be taken by written procedure for urgent cases, with all voting members responding and the Chair confirming.

41.3 Conflicts

Members must declare conflicts at the start of each meeting; a conflicted member leaves the discussion and does not vote. The originating RM and their line manager do not vote on their own cases.

41.4 Escalation

From	To	When
Regional Credit Committee	Central Credit Committee	Exposure or grade above L6; disagreement escalated by a 2LoD member; Restricted sector with Policy Exception
Central Credit Committee	Executive Credit Committee	Above L7; reputational or novel risk; portfolio limit at Red; lending to a Northbridge director’s connected business

41.5 Documentation

The committee secretary records for each case: attendees and quorum; conflicts declared; key risks discussed and challenges raised; the decision and vote; conditions attached; and actions with owners and due dates. Minutes are issued within 2 working days and form part of the credit file.

41.6 Approval standards

The committee may approve only where it is satisfied that: the primary repayment source is evidenced and stress-tested; the facility is within appetite or any exception is justified; structure, security and covenants are appropriate; information is complete and reliable; and the decision is fair to the customer. Approvals that are “balanced” (where the committee records material unresolved doubts) must carry a shortened review date of no more than 6 months.

42. Credit Application / Credit Memo Template

All manually underwritten applications above L2 must use this template. Sections may be brief where a topic is immaterial, but none may be deleted; “N/A” must be justified in one line. The recommendation and key risks appear first so that the approver reads the conclusion before the evidence.

#	Section	Required content
0	Summary box	Obligor; segment and overlays; TCE before/after; facilities requested; recommended decision; grade (model / final); PD; LGD; EL; RAROC; authority level required; exceptions (Y/N)
1	Recommendation	Approve / approve with amendments / decline, in one paragraph, with the main reasons
2	Customer	Legal name, number, incorporation date, registered office, SIC, years trading, KYC status and Customer Risk Rating
3	Ownership	Structure chart; shareholders and PSCs; UBOs; group connections and TCE
4	Management	Directors’ experience; succession; key-person risk; governance and reporting quality (Section 13.2 scores)
5	Business model	What the business does, who pays it, why customers stay; competitive position; customer and supplier concentration

#	Section	Required content
6	Industry	Northbridge sector classification and risk score; sector outlook; how the obligor differs from its sector
7	Existing banking relationship	Facilities with Northbridge and others; account conduct (12m); utilisation; covenant compliance history; EWI history
8	Facilities requested	For each: product, amount, tenor, repayment profile, pricing, fees
9	Purpose	Use of funds; sources and uses table; owner contribution
10	Financial analysis	3-year spread with YTD; key ratios vs warning thresholds and sector benchmarks; trend narrative
11	Cash flow	Normalisation schedule; CFADS; historical pro-forma DSCR; bank-case forecast and assumptions vs management case
12	Leverage	Senior and total debt / EBITDA (pre and post); debt capacity vs Section 15 limits
13	Security	Security schedule: asset, ranking, MV, haircut, lending value, valuation date; security cover; unsecured exposure
14	Guarantees	Guarantors, amounts, net worth, ILA status, or rationale for waiver
15	Risk grade	Model score and grade; qualitative adjustments; overrides with reason codes

#	Section	Required content
16	PD, LGD, EL	Values used; pricing vs minimum margin; RAROC vs hurdle
17	Stress test	Mild / moderate / severe results vs Section 14 criteria; sector stresses; runway; refinancing risk
18	Key risks	The 3–6 risks that matter, each stated specifically
19	Mitigants	Mitigant for each key risk, and residual risk
20	Covenants	Financial (definition, level, testing, headroom vs bank case) and non-financial
21	Policy exceptions	Each exception: rule, magnitude, justification, compensating factors
22	Conditions precedent	Numbered list
23	Conditions subsequent	Numbered list with due dates
24	Monitoring plan	MI required, review frequency, EWIs specific to this obligor
25	ESG and climate	Physical and transition assessment; insurance; actions
26	Independent challenge log	Credit's questions and the RM's responses
27	Approval	Approver(s), authority level, decision, amendments, conditions, date, next review date

Quality rules. No adjectives without evidence ("strong management" must be supported by Section 13 factors). All figures must reconcile to the spread. Every key risk must have a corresponding mitigant, covenant or monitoring action, or an explicit statement that it is accepted.

43. Worked Example — MGT Foods UK Ltd

Outcome: the facilities as requested are declined, and an amended structure is approved. The request fails the mild and moderate stress tests in Section 14. A smaller term loan, funded alongside a £500k subordinated director loan, passes every test and is approved at Senior Credit Manager (L5) level. MGT Foods UK Ltd, its owners, customers and all figures are fictional.

43.1 Summary box

Item	Detail
Obligor	MGT Foods UK Ltd (fictional), private limited company, incorporated 2009
Business	Manufacturer of chilled and frozen ready meals and sauces for UK grocery retailers and food-service; single freehold site in the East Midlands; 85 employees
Segment / overlays	Medium (turnover £12.0m); owner-managed
Sector	Food manufacturing — Acceptable (Neutral); sector risk score 3
KYC	Complete; Customer Risk Rating Low
Requested	Term loan £2.0m (7 years) for a new production line; RCF £500k (3 years) replacing £300k overdraft
Existing Northbridge facilities	Term loan £600k outstanding (5 years remaining, fixed 6.50%); overdraft £300k limit (£150k drawn)
Other lenders	Hire purchase £200k (vehicles), third-party asset finance company
TCE after (as recommended)	£2.85m
Grade	Model score 640 → grade 6; final grade 6; Master Scale central PD 1.20%
LGD / EAD / EL	28% / £2.71m / c.£9k p.a.
Recommendation	Decline as requested; approve amended structure (Section 43.11)
Authority	L5 Senior Credit Manager, joint with Commercial Manager (TCE £2.85m, grade 6)
Policy exceptions	None in the approved structure

43.2 Ownership, management and business model

Area	Assessment
Ownership	Managing Director and founder (age 61) 70%; Operations Director 15%; founder's sibling (non-executive, not employed) 15%. No corporate shareholders; PSC register verified
Management	MD: 30 years in food manufacturing. Operations Director: 12 years, joined 2018. Finance function: in-house financial controller, external accountants. Monthly management accounts produced within 20 days. No formal succession plan. Management score: Adequate (experience Strong; succession Weak)
Business model	Contract manufacture of own-label ready meals under supply agreements. Customer A (a national grocery retailer) 38% of revenue; top 3 customers 61%. Recurring weekly orders but supply agreements are 12-month rolling and terminable on 3 months' notice
Purpose of request	Install a second high-speed production line (total cost £2.4m: equipment £2.0m, installation and commissioning £0.4m) to supply a new premium range to Customer A. A letter of intent has been received; the 3-year supply agreement is not yet signed
Management case	New line adds £3.0m revenue and £450k EBITDA a year from FY28 (year to 31 March 2028)

43.3 Financial statements (years to 31 March, £000)

Profit and loss

£000	FY24	FY25	FY26
Revenue	10,400	11,300	12,000
Cost of sales	(7,176)	(7,966)	(8,640)
Gross profit	3,224	3,334	3,360
Overheads (excl. D&A)	(1,924)	(2,014)	(2,110)
EBITDA (reported)	1,300	1,320	1,250

£000	FY24	FY25	FY26
Depreciation and amortisation	(280)	(300)	(320)
EBIT	1,020	1,020	930
Net interest	(85)	(80)	(70)
Profit before tax	935	940	860
Tax (25%)	(234)	(235)	(215)
Net profit	701	705	645
Dividends paid	(350)	(350)	(350)

Balance sheet (31 March)

£000	FY24	FY25	FY26
Freehold property (NBV)	1,660	1,630	1,600
Plant and machinery	1,380	1,460	1,400
Inventory	880	950	1,100
Trade receivables	1,345	1,500	1,850
Cash	210	260	250
Total assets	**5,475**	**5,800**	**6,200**
Trade payables	1,300	1,420	1,550
Accruals and other creditors	270	290	300
Corporation tax	140	130	120
Overdraft	—	—	150
Term loan — current	100	105	110
Hire purchase — current	70	80	80
Current liabilities	**1,880**	**2,025**	**2,310**
Term loan — non-current	705	600	490

£000	FY24	FY25	FY26
Hire purchase — non-current	280	200	120
Deferred tax	160	170	180
Total liabilities	**3,025**	**2,995**	**3,100**
Net assets / equity	**2,450**	**2,805**	**3,100**

Year to date (5 months to 31 August 2026, management accounts): revenue £5.10m (prior year £4.90m, +4.1%); EBITDA £541k, margin 10.6% (prior year 10.3%). Margin decline has paused but not reversed.

43.4 Normalisation (FY26)

£000	Amount	Policy basis (Section 10.4)
Reported EBITDA	1,250	
Add: redundancy costs (night-shift restructure, completed Nov 2025)	+60	One-off; programme complete; first in 3 years
Add: legal costs on a settled customer dispute (£40k)	+20	50% add-back cap on non-recurring legal costs
Less: MD salary below market (paid £50k; benchmark £110k)	−60	Owner remuneration normalised to market
Normalised EBITDA	**1,270**	Add-backs 6.4% of reported EBITDA (within 15% cap)

The same MD adjustment applied to prior years gives normalised EBITDA of £1,240k (FY24) and £1,260k (FY25). EBITDA has varied by less than 25% across 3 years, so FY26 normalised EBITDA is used. LTM EBITDA to August 2026 is slightly higher, so the lower FY26 figure is retained.

43.5 Key ratios

Ratio	FY24	FY25	FY26	Policy warning (Section 9)	Comment
Revenue growth	—	8.7%	6.2%	Decline > 10% or growth > 30%	Healthy, partly price inflation
Gross margin	31.0%	29.5%	28.0%	Fall > 3pp YoY	−1.5pp each year; not yet at trigger but persistent

Ratio	FY24	FY25	FY26	Policy warning (Section 9)	Comment
EBITDA margin (reported)	12.5%	11.7%	10.4%	Fall > 2pp YoY	−2.1pp over 2 years; key risk
Net profit margin	6.7%	6.2%	5.4%	Loss in last 2 years	Profitable throughout
Current ratio	1.30x	1.34x	1.39x	< 1.0x	Adequate
Quick ratio	0.83x	0.87x	0.91x	< 0.7x	Adequate
Working capital (£000)	555	685	890	Negative	Growing with receivables
Net debt (£000)	945	725	700	—	Low
Net debt / EBITDA (reported)	0.73x	0.55x	0.56x	> 3.0x	Low leverage before the request
Interest cover (EBIT / interest)	12.0x	12.8x	13.3x	< 3.0x	Very strong
Debtor days	47	48	56	+15 days YoY or > 90	+8 days in FY26: Customer A moved to 60-day terms
Inventory days	45	44	46	+20 days YoY	Mainly frozen finished goods and packaging
Creditor days	66	65	65	> 90	Stable; not stretching suppliers
Cash conversion cycle	26	27	37	+20 days YoY	+10 days, driven by Customer A terms

Calculation basis (FY26): current ratio = 3,200 / 2,310; quick ratio = (3,200 − 1,100) / 2,310; debtor days = 1,850 / 12,000 × 365; inventory days = 1,100 / 8,640 × 365; creditor days = 1,550 / 8,640 × 365; net debt = (600 + 200 + 150) − 250.

43.6 Structures compared and debt service

After first review, Credit challenged the requested structure and the MD offered a £500k subordinated director loan (source verified: proceeds of a personal investment-property sale). Both structures are assessed below. Rate assumptions are illustrative: SONIA 4.00% (an assumption, not a forecast); term loan margin 3.00%; RCF margin 3.50%.

Sources and uses (£000)

	As requested	As recommended
Use: equipment	2,000	2,000
Use: installation and commissioning	400	400
Total project cost	**2,400**	**2,400**
Source: new term loan	2,000 (83%)	1,750 (73%)
Source: subordinated director loan	—	500 (21%)
Source: company cash	150 (6%)	150 (6%)
Source: RCF drawing	250 (10%)	—
Overdraft £150k refinanced into RCF at drawdown	Yes	Yes
RCF drawn / undrawn after drawdown	400 / 100	150 / 350
Cash after drawdown	100	100
Committed liquidity (cash + undrawn RCF)	**200**	**450**

Annual debt service (£000)

Facility	Terms	As requested	As recommended
New term loan	7.00%; requested: 7 years amortising; recommended: 6 months interest-only, then 84 months amortising	371	325
Existing Northbridge term loan	£600k, 5 years remaining, fixed 6.50%	144	144

Facility	Terms	As requested	As recommended
Hire purchase (third party)	Contractual	85	85
RCF £500k	Interest at 7.50% on 50% assumed utilisation	19	19
Total debt service		**619**	**573**

The annuity factor for 7 years at 7.00% is $0.07 / (1 - 1.07^{-7}) = 0.1856$, so £2.0m → £371k and £1.75m → £325k a year.

43.7 Cash flow and DSCR

Historical pro-forma (FY26 CFADS against proposed debt service)

£000	FY26	Basis
Normalised EBITDA	1,270	Section 43.4
Cash tax	(220)	25% × (1,270 − 320 D&A − 70 interest)
Maintenance capex	(160)	Higher of 3-year average non-growth capex (£150k) and 50% of D&A (£160k)
Δ Working capital	(55)	4% organic growth × operating working capital of £1,400k
Sustainable owner distributions	(100)	Policy minimum £30k × 2 working owners + £40k historical dividend to the non-executive shareholder
CFADS	**735**	

Bank case, FY28 (first full year of the new line)

Management forecasts £3.0m incremental revenue and £450k incremental EBITDA. The supply agreement is unsigned, so the bank case takes 60% of the increment (Section 10.3), assumes no organic growth, and holds the base EBITDA margin flat.

£000	Management case	Bank case	Bank-case basis
Revenue	15,480	13,800	12,000 base + 60% of 3,000

£000	Management case	Bank case	Bank-case basis
EBITDA	1,771	1,540	1,270 base + 60% of 450
EBITDA margin	11.4%	11.2%	
D&A		560	320 + new line over 10 years
Cash tax		(201)	25% × (1,540 − 560 − 176 interest)
Maintenance capex		(280)	50% of D&A
Δ Working capital		(120)	Ramp-up of receivables and stock
Owner distributions		(100)	
CFADS (recommended structure)		**839**	

DSCR results

Test	Requirement	As requested	As recommended
Historical pro-forma DSCR	≥ 1.10x for capex lending (Section 10.3)	735 / 619 = **1.19x** ✔	735 / 573 = **1.28x** ✔
Bank-case DSCR by end of year 2	≥ 1.25x	843 / 619 = **1.36x** ✔	839 / 573 = **1.46x** ✔

The recommended structure clears the 1.25x general standard on historical cash flow alone, so it does not depend on the new contract to service debt. The requested structure depends on it.

43.8 Leverage at drawdown

£000	As requested	As recommended
Senior debt (TLs + HP + RCF drawn)	3,200	2,700
Less cash	(100)	(100)
Senior net debt	3,100	2,600
Senior net debt / Normalised EBITDA	**2.44x**	**2.05x**
Policy limit (Section 15.1)	3.0x	3.0x

The subordinated director loan is excluded from senior debt because it is postponed by deed.

43.9 Stress tests (applied to the FY28 bank case)

Floating-rate debt: c.£2.17m as requested, c.£1.93m as recommended. Distributions are removed only in the severe scenario, as Section 14.1 allows. Working capital release from lower sales is ignored.

£000	Base	Mild	Moderate	Severe
Revenue	13,800	12,420	11,040	9,660
EBITDA margin	11.2%	9.2%	7.2%	5.2%
EBITDA	1,540	1,138	790	498
CFADS (recommended)	839	662	410	218
Debt service (recommended)	573	592	631	670
DSCR (recommended)	**1.46x**	**1.12x**	**0.65x**	**0.33x**
Annual shortfall (recommended)	—	—	221	452
Liquidity runway (recommended)	—	—	**24 months**	**12 months**
Interest cover, EBIT / interest (recommended)	5.6x	3.0x	1.0x	<0
CFADS (requested)	843	667	410	218
Debt service (requested)	619	641	684	728
DSCR (requested)	**1.36x**	**1.04x**	**0.60x**	**0.30x**
Liquidity runway (requested)	—	—	**9 months**	**5 months**

Section 14.2 criterion	As requested	As recommended
Mild: DSCR ≥ 1.10x	1.04x ✘ **fail**	1.12x ✔ pass (thin)
Moderate: DSCR ≥ 1.00x or runway ≥ 12 months	0.60x and 9 months ✘ **fail**	Runway 24 months ✔ pass

Section 14.2 criterion	As requested	As recommended
Severe: runway ≥ 6 months and forced-sale security cover ≥ 80%	5 months ✘ **fail**; cover 111%	12 months ✔; cover 121% ✔
Mild stress breaches a covenant in first 12 months?	n/a	No (mild DSCR 1.12x vs covenant 1.10x)

Sector stress (food manufacturing, Section 14.4). Loss of Customer A over 6 months removes c.£6.4m of bank-case revenue post-expansion. No structure survives this on cash flow, which is why contract terms and concentration monitoring matter more than leverage here. Under the recommended structure, committed liquidity of £450k and security cover of 121% in the severe case give Northbridge time and a low expected loss if it occurs.

43.10 Security and LTV

Asset	Charge	Value basis	Value (£000)	Haircut	Lending value (£000)
Freehold factory	First legal charge (existing)	RICS Red Book MV, June 2026	2,400	30%	1,680
Trade receivables < 90 days	Debenture (fixed charge)	Aged list, Aug 2026	1,750	50%	875
Inventory — perishable	Debenture (floating)	Book	600	80%	120
Inventory — packaging and ambient	Debenture (floating)	Book	500	50%	250
New production line (specialist)	Fixed charge	Cost	2,000	75%	500
Existing plant (installed, specialist)	Debenture (fixed)	NBV	1,400	75%	350
Total lending value					**3,775**

Measure	As requested	As recommended
Total Northbridge exposure (limits)	3,100	2,850
Security cover (lending value / exposure)	122%	132%
Security cover, severe stress (receivables and stock re-based to stressed revenue: £3,440k)	111%	121%
Unsecured exposure (Section 15.3)	Nil	Nil
LTV: existing TL / property MV	25%	25%
LTV: all Northbridge term debt / property MV	108%	98%

The property alone does not cover the term debt; cover relies on the debenture and equipment, which are worth least when the business fails. Both structures are adequately secured, which confirms Section 16.6: security is not the deciding issue — repayment capacity under stress is.

43.11 Risk grade, PD and return

Scorecard category	Key input	Points	Max
Cash flow and debt service	Pro-forma DSCR 1.28x; CFO / debt	56	90
Leverage	Pro-forma net debt / EBITDA 2.05x; gearing	50	72
Account conduct	Average OD utilisation 55%; no excesses or returns	62	72
Credit bureau	Clean; pays 3 days beyond terms on average	50	60
Liquidity	Current 1.39x; quick 0.91x	34	48
Profitability	EBITDA margin 10.4%	28	48
Industry risk	Sector score 3	24	48

Scorecard category	Key input	Points	Max
Business performance	Revenue CAGR 7.4%; EBITDA margin −2.1pp over 2 years	18	42
Management quality	Experience strong; succession weak	28	42
Customer relationship	Banked 12 years	26	30
Business model / concentration	Largest customer 45% post-expansion	6	30
External environment	Energy and labour sensitivity	8	18
Category points + 250 base points		**640**	850

Score 640 → odds 100:1 → model PD 0.99% → **grade 6** (score band 612–651). No qualitative adjustment: concentration and margin trend are already scored. Master Scale central PD of 1.20% is used for EL and pricing.

Parameter	Value
PD	1.20%
LGD	28% (first-charge property plus debenture)
EAD	£2.71m = TLs £2.35m + RCF drawn £150k + 60% CCF × £350k undrawn
Expected loss	1.20% × 28% × £2.71m = c.£9.1k a year
Pricing	TL SONIA + 3.00%; RCF SONIA + 3.50% plus 0.75% non-utilisation fee; arrangement fee 1.25% (above grade-6 minimum margin of 2.50%)
RAROC *(illustrative)*	16.5%, above the 14% hurdle

43.12 Key risks and mitigants

Key risk	Mitigant	Residual
Margin erosion: gross margin down 3pp in 2 years under grocer pricing pressure and input inflation	Bank case assumes no recovery; YTD margin stable at 10.6%; stress-tested; gross-margin EWI at 26%	Moderate

Key risk	Mitigant	Residual
Customer concentration: Customer A rises from 38% to c.45% of revenue	3-year signed supply agreement as CP; termination-notice covenant; concentration EWI at 50%; recommended debt serviceable without the new volume	Moderate — accepted
Execution: commissioning delay or cost overrun	Fixed-price installation contract with supplier performance retention; 6-month interest-only period; staged drawdown paid directly to supplier; £350k undrawn RCF	Low
Forecast risk on incremental volume	40% haircut; recommended structure passes 1.25x on historical cash flow	Low
Key person and succession: founder MD aged 61, no plan	Key-person cover (CS); succession plan (CS); capable Operations Director	Moderate
Cost shocks: energy (fixed until Sept 2027) and wages	Stress-tested; energy-renewal EWI	Moderate
Interest rate: c.70% of debt floating after drawdown	Stress-tested at +500bps; hedging for 50% of the new TL offered (not a condition)	Low

43.13 Independent challenge log (extract)

#	Credit challenge	RM / customer response	Outcome
1	Why not use the management case, given the letter of intent?	LOI only; agreement expected in Q4 2026	Policy 40% haircut applied; signed agreement made a CP
2	Customer A moved to 60-day terms in FY26: a sign of buyer power?	Confirmed; part of a supplier-wide change	Reflected in CCC and ΔWC; debtor-days EWI at 65
3	Requested structure fails mild stress. Fix by	RM proposed 10 years	Rejected: specialist food equipment faces technology and

#	Credit challenge	RM / customer response	Outcome
	extending tenor to 10 years?		hygiene-standard change; 7.5 years is the prudent economic life for lending. Owner contribution preferred
4	Is a personal guarantee needed?	MD contributing £500k subordinated	Not required: unsecured exposure nil, grade 6, no Section 17.1 trigger; owner alignment achieved through subordinated funds

43.14 Recommended facilities and terms

Facility	Amount	Tenor and repayment	Pricing
Term loan B (new, capex)	£1,750,000	7.5 years: 6 months interest-only, then 84 monthly amortising instalments	SONIA + 3.00%
RCF (new)	£500,000	3 years committed	SONIA + 3.50%; 0.75% non-utilisation fee
Term loan A (existing)	£600,000	Unchanged: 5 years remaining	Fixed 6.50%
Overdraft (existing)	£300,000	Cancelled on RCF drawdown	—
TCE	**£2,850,000**		

Security: new all-monies debenture (fixed and floating charges), replacing the existing debenture; existing first legal charge over the freehold factory extended to all monies; fixed charge over the new production line; deed of postponement over the £500k director loan. No personal guarantee.

Financial covenants (quarterly, LTM, from 30 September 2027)

Covenant	Level	Bank case at first test	Headroom
DSCR	≥ 1.10x, stepping to ≥ 1.20x from 31 March 2029	c.1.45x	24%

Covenant	Level	Bank case at first test	Headroom
Senior net debt / Normalised EBITDA	≤ 2.50x	c.1.90x	24%

Non-financial covenants: standard package (Section 18.2), plus: distributions capped at £100k a year to 31 March 2029, and only if post-distribution DSCR ≥ 1.35x and leverage ≤ 2.0x; no repayment of the director loan while Term loan B is outstanding without Credit consent; non-project capex ≤ £350k a year; notice within 5 working days of any termination notice or volume reduction > 15% from Customer A.

Conditions precedent

1. Signed supply agreement with Customer A for the premium range: term ≥ 3 years; volumes ≥ 70% of the management case.
2. £500k director loan received in the company's Northbridge account, with deed of postponement executed and source of funds verified.
3. Company cash contribution of £150k paid to the supplier, evidenced.
4. Fixed-price supply and installation contract with the equipment supplier, including commissioning performance retention of at least 10%.
5. Security documents executed and registered; Companies House and Land Registry registrations confirmed.
6. Specialist valuation of the new production line from a panel valuer.
7. Buildings, plant and business-interruption insurance (≥ 12 months) with Northbridge noted as loss payee.
8. Drawdowns of Term loan B paid directly to the supplier in three stages (30% order, 60% delivery, 10% commissioning).

Conditions subsequent

1. Key-person life and critical-illness cover on the MD for £500k, assigned to Northbridge, within 60 days.
2. Commissioning certificate within 9 months of first drawdown.
3. Board-approved succession plan within 6 months.

Monitoring plan

- Monthly management accounts within 30 days for 12 months from drawdown, then quarterly.
- Quarterly covenant compliance certificate, aged debtors and customer-concentration report.
- Monthly commissioning-progress report until the line is commissioned.
- Semi-annual desk review (next: 31 March 2027); full annual review by 30 September 2027.
- Obligor-specific EWIs: Customer A > 50% of revenue; quarterly gross margin < 26%; debtor days > 65; commissioning delay > 3 months or overrun > 10%; energy contract unhedged 3 months before September 2027 expiry.

43.15 Final credit decision

Decline the facilities as requested. The £2.0m term loan with £500k RCF, funded almost entirely by debt, fails the mild stress (DSCR 1.04x vs 1.10x) and the moderate and severe liquidity tests. Under Section 14.2 these failures require decline or restructure; no exception route exists for a mild-stress failure.

Approve the amended structure set out in Section 43.14, subject to the CPs, at grade 6, within L5 authority. The decision rests on: historical cash flow covering the new debt service at 1.28x without relying on the new contract; senior leverage of 2.05x; committed liquidity sufficient for 24 months of the moderate-stress shortfall; and 132% security cover. The main accepted risk is customer concentration, managed through the CP, covenants and EWIs rather than avoided.

Approval	Detail
Recommended by	Relationship Director, Midlands Commercial (amended recommendation)
Independent challenge	Credit Manager, Midlands Commercial Credit
Approved by	Senior Credit Manager (L5), jointly with Commercial Manager (L2)
Decision	Approve with amendments
Approval valid to	90 days from approval
Next review	Semi-annual desk review 31 March 2027; annual review 30 September 2027

44. Appendices

Appendix A — Key policy parameters (single reference)

Where this table and a section differ, the section prevails; Credit Risk Policy must correct the table within 10 working days.

Parameter	Value	Section
SME scope	Turnover ≤ £50m and TCE ≤ £50m	3.1
Minimum trading history (standard policy)	24 months	6.1
Minimum DSCR (historical)	1.25x (hospitality 1.35x)	10
Capex lending	Historical ≥ 1.10x and bank case ≥ 1.25x by year 2	10.3
Bank-case haircut on uncontracted incremental EBITDA	≥ 40%	10.3
Normalisation add-back cap	15% of reported EBITDA (25% absolute max)	10.4

Parameter	Value	Section
Max senior debt / EBITDA	3.0x (hospitality 2.5x; 3.5x with L7)	15.1
Interest cover (EBIT)	Standard ≥ 3.0x; decline < 2.0x	9.4
Overdraft max	Lower of 15% turnover and £2m	15.2
Stress: mild / moderate / severe	Rev −10/−20/−30%; margin −2/−4/−6pp; rates +100/+300/+500bps	14.1
Stress pass criteria	Mild DSCR ≥ 1.10x; moderate DSCR ≥ 1.00x or 12m runway; severe 6m runway and 80% FSV cover	14.2
Covenant headroom at first test	≥ 20% (15% with L4)	14.3
Owner-occupied / investment / development LTV	70% / 65% / 60% LTGDV, 75% LTC	32.2
Investment property ICR	≥ 1.75x at stressed rate	32.2
Invoice discounting advance	Up to 85% of eligible debts	5.1
PG threshold	Unsecured exposure > £25k (owner-managed)	17.1
Default	90 DPD material, or UTP	25
SICR	3x and +1.0pp lifetime PD; Watchlist; forbearance; 30 DPD	28.2
RAROC hurdle	14%	11.3
Approval validity	90 days	20

Appendix B — Standard spreading chart (summary)

Statement	Standard lines
Income statement	Revenue; cost of sales; gross profit; staff costs; property costs; energy; other overheads; EBITDA (reported); normalisation adjustments; Normalised EBITDA; D&A; EBIT; net interest; exceptional items; PBT; tax; PAT; dividends
Balance sheet	Intangibles; property; P&M; vehicles; right-of-use assets; investments; inventory; trade receivables;

Statement	Standard lines
	other receivables; intercompany receivables; cash; trade payables; accruals; tax; overdraft; current debt; current lease liabilities; non-current debt; non-current lease liabilities; director loans (subordinated / not); provisions; deferred tax; equity; tangible net worth
Cash flow	EBITDA; Δ working capital; tax paid; CFO; maintenance capex; growth capex; disposals; FCF; interest paid; debt repaid; new debt; dividends; equity; net cash movement

Appendix C — Application routing decision tree

1. Is KYC complete and the Customer Risk Rating not Prohibited?
    a. No → stop; complete KYC or decline.
    b. Yes → step 2.
2. Is the sector Prohibited, or any mandatory eligibility criterion failed with no exception route?
    a. Yes → decline.
    b. No → step 3.
3. Is TCE after the facility ≤ £100k, the product standard, and no exception requested?
    a. Yes → Decision Engine (Section 21): approve, decline or refer.
    b. No → manual underwriting, step 4.
4. Trading < 24 months?
    a. Yes → Start-up policy (Section 31).
    b. No → step 5.
5. Is repayment primarily from property income or sale?
    a. Yes → Property framework (Section 32), Real Estate Credit.
    b. No → cash-flow framework (Sections 9–15).
6. Do cash-flow tests and stress tests pass?
    a. No → restructure or decline; Policy Exception only where Section 14.2 permits.
    b. Yes → step 7.
7. Route to authority per Section 19, applying mandatory escalations (Restricted sector, exceptions, overrides, grades 7–10, connected or conflicted parties).

Appendix D — Conditions precedent checklist (standard)

- ☐ Facility letter signed and returned
- ☐ Board minutes approving borrowing and security
- ☐ Debenture executed and registered at Companies House
- ☐ Legal charge executed and registered at the relevant land registry
- ☐ Valuation report addressed to Northbridge, < 6 months old
- ☐ Insurance evidence with Northbridge noted as loss payee / mortgagee
- ☐ Personal guarantees executed with Independent Legal Advice certificates (where applicable)

- ☐ Deeds of priority / postponement executed (where applicable)
- ☐ Equity or owner contribution evidenced and source verified
- ☐ Transaction-specific CPs from the approval
- ☐ CP sign-off by Credit Operations (not the RM)

Appendix E — Related documents

Group Credit Risk Framework; Definition of Default Standard; IFRS 9 Impairment Standard; Model Risk Policy; Group Financial Crime Policy; Customer Vulnerability Standard; Climate Risk Standard; Collateral Valuation Standard; Delegated Credit Authority Manual; Sector Guides; Corporate Credit Policy; Leveraged Finance Policy. All are fictional documents referred to for completeness.

How This Fictional Policy Compares With Typical Large UK Bank Practice

The structure and principles of this policy are broadly common across major UK lenders; the numbers are where banks differ most. Thresholds, grade scales, authority limits and scorecard weights here are plausible calibrations, not market benchmarks, and any real bank's values will differ.

Broadly common across major UK lenders

Principle	Why it is common
Cash flow as the primary repayment source; security as secondary	Long-standing credit practice reinforced by supervisory expectations and loss experience
Three Lines of Defence with independent Second Line credit approval	Standard governance model in UK banking
Master-scale grading with PD, LGD and EAD	Required for IRB banks; used for pricing and appetite by most large lenders
A single definition of default aligned to 90 days past due and unlikeliness to pay	Prudential requirements for IRB banks; IFRS 9 alignment
IFRS 9 three-stage model with SICR, macro scenarios and overlays	Accounting standard requirement
KYC before credit; EDD for higher-risk customers	Money laundering regulations and sanctions law
Watchlist and specialist support / recovery units	Universal practice for managing deterioration
Independent model validation and monitoring (Gini, calibration, PSI)	Supervisory model-risk expectations
Fair treatment in forbearance and vulnerability awareness	Conduct expectations and industry lending codes

Likely to vary between banks

Element	How practice varies
Segment boundaries	Turnover cut-offs between business banking, commercial and corporate differ (£2m, £6.5m, £25m and £50m are all used); some banks segment by exposure rather than turnover
Number of grades	Typically 10–25 performing notches; some use letter grades mapped to agency scales
DSCR and leverage thresholds	Common DSCR minimums range from 1.20x to 1.50x; senior leverage caps from 2.5x to 4.0x, depending on sector and appetite
Stress-test design	Some banks use only a rate shock for small SMEs; others use full scenario sets. Pass criteria vary widely
Delegated authority levels	Highly bank-specific; driven by organisation design, risk appetite and individual track records
Personal guarantee policy	Ranges from routine PGs to waiving them for strong credits; some banks have moved away from PGs over certain thresholds
Automated decisioning limits	Ranges from £25k to over £250k; depends on data access (Open Banking) and model performance
Collateral haircuts and valuation frequency	Internally calibrated from each bank's recovery data
Sector appetite	Each bank sets its own Restricted and Prohibited lists, reflecting strategy, loss history and reputational stance
Capital approach	Some lenders use the Standardised Approach for SME credit risk, which changes how grades are used for capital (but not for decisions)
Pricing hurdles	RAROC or return-on-equity targets differ by bank and change with capital and funding costs

Where this policy simplifies

A real policy suite would split this document into a short Board-level policy and many supporting standards and procedures, with system specifications, product terms and legal templates. Real calibrations would come from the bank's own data and be validated before use.

Fictional Status Statement

Northbridge Bank plc is a fictional bank. This policy was written for educational and project purposes, including use as synthetic source material for a credit-risk AI project. It is not the policy of Lloyds Banking Group or any other real institution, and it does not reproduce or infer any real bank's confidential policies, thresholds or methodologies.

All thresholds, limits, scorecard weights and points, PD bands, LGDs, credit conversion factors, delegated authorities, portfolio limits, appetite metrics, pricing, interest-rate assumptions, and the MGT Foods UK Ltd worked example (company, people, customers and figures) are invented. References to UK regulators, laws and accounting standards describe the general alignment a real policy would seek; they are not statements of legal or regulatory requirements and must not be relied on as such.